Supreme Court, U.S.
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No.

IN THE

Supreme Court of the United States

ROBIN FREE and RENEE FREE,

Petitioners,

v.

ABBOTT LABORATORIES, *et al.*,

Respondents.

ON PETITION FOR A WRIT OF CERTIORARI TO THE UNITED STATES COURT OF APPEALS FOR THE FIFTH CIRCUIT

PETITION FOR A WRIT OF CERTIORARI

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QUESTION PRESENTED

Whether the supplemental jurisdiction statute, 28 U.S.C. § 1367, overrules *Zahn v. International Paper Co.*, 414 U.S. 291 (1973), and thus expands federal subject matter jurisdiction in a class action to encompass class members whose claims do not satisfy the amount-in-controversy requirement of 28 U.S.C. § 1332, as long as diversity jurisdiction exists over the claims of one named plaintiff.

PARTIES TO THE PROCEEDING

The Petitioners are Robin Free and Renee Free, plaintiffs in the action originally filed in Louisiana state court and removed by the respondents to federal district court.

The Respondents are the defendants in the action below: Abbott Laboratories, Bristol-Myers Squibb Company, and Mead Johnson & Company.

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Petitioners Robin Free and Renee Free respectfully pray that a writ of certiorari issue to review a judgment of the United States Court of Appeals for the Fifth Circuit dated June 3, 1999 affirming the dismissal of Petitioners' case, and specifically to review the Fifth Circuit's ruling in this matter that 28 U.S.C. § 1367 overrules *Zahn v. International Paper Co.*, 414 U.S. 291 (1973), and thus permits a federal district court sitting in diversity in a class action to exercise supplemental jurisdiction over class members whose claims do not satisfy the amount-in-controversy requirement. *Free v. Abbott Labs.*, 176 F.3d 298 (5th Cir. 1999), Appendix ("App.") A; *In re Abbott Labs.*, 51 F.3d 524 (5th Cir. 1995), App. J. The Fifth and Seventh Circuits expressly disagree with the Tenth and Third Circuits whether *Zahn* remains good law; the district courts also are divided.

OPINIONS AND ORDERS BELOW

The opinion of the United States Court of Appeals for the Fifth Circuit reversing a remand order and holding that 28 U.S.C. § 1367 overrules *Zahn v. International Paper Co.*, 414 U.S. 291 (1973), entered April 24, 1995, is reported at 51 F.3d 524 and is reprinted as Appendix J hereto. The Court of Appeals' denial of rehearing and rehearing en banc, entered September 1, 1995, is reported at 65 F.3d 33 and is reprinted as Appendix I hereto. The opinion of the Court of Appeals, entered January 19, 1999, declining to consider subject matter jurisdiction further on the basis of the law-of-the-case doctrine and certifying two questions of state antitrust law to the Louisiana Supreme Court, is reported at 164 F.3d 270 and is reprinted as Appendix C hereto. The order of the Louisiana Supreme Court denying certification of questions, entered March 19, 1999, is reported at 1999 WL 194425 and is reprinted as Appendix B hereto. The

opinion of the Court of Appeals, entered June 3, 1999, affirming dismissal on the merits, is reported at 176 F.3d 298 and is reprinted as Appendix A hereto.

The order of the United States District Court for the Middle District of Louisiana remanding to state court, entered April 5, 1994, is reported at 1994 U.S. Dist. LEXIS 4563 and is reprinted as Appendix L hereto. The order of the district court denying reconsideration of the remand order, entered June 21, 1994, is reported at 1994 WL 422298 and is reprinted as Appendix K hereto. The order of the district court preliminarily approving settlement and certifying a settlement class, entered May 31, 1996, is not reported and is reprinted as Appendix H hereto. The order of the district court denying final settlement approval, entered January 21, 1997, is reported at 953 F. Supp. 751 and is reprinted as Appendix G hereto. The order of the district court denying reconsideration of the denial of settlement approval, entered April 22, 1997, is not reported and is reprinted as Appendix F hereto. The order of the district court granting the defendants' motions to dismiss, entered November 6, 1997, is reported at 982 F. Supp. 1211 and is reprinted as Appendix D hereto. The Judgment of the district court dismissing the cause of action, entered November 7, 1997, is not reported and is reprinted as Appendix E hereto.

STATEMENT OF JURISDICTION

This petition for a writ of certiorari seeks review of the June 3, 1999 judgment of the United States Court of Appeals for the Fifth Circuit and the prior jurisdictional decision of that court dated April 24, 1995 on which the judgment is based. Jurisdiction of this Court is invoked under 28 U.S.C. § 1254(1) (1994).

STATUTES INVOLVED

28 U.S.C. § 1367 (1994) provides in part:

> (a) Except as provided in subsections (b) and (c) or as expressly provided otherwise by Federal statute, in any civil action of which the district courts have original jurisdiction, the district courts shall have supplemental jurisdiction over all other claims that are so related to claims in the action within such original jurisdiction that they form part of the same case or controversy under Article III of the United States Constitution. Such supplemental jurisdiction shall include claims that involve the joinder or intervention of additional parties.
>
> (b) In any civil action of which the district courts have original jurisdiction founded solely on section 1332 of this title, the district courts shall not have supplemental jurisdiction under subsection (a) over claims by plaintiffs against persons made parties under Rule 14, 19, 20, or 24 of the Federal Rules of Civil Procedure, or over claims by persons proposed to be joined as plaintiffs under Rule 19 of such rules, or seeking to intervene as plaintiffs under Rule 24 of such rules, when exercising jurisdiction over such claims would be inconsistent with the jurisdictional requirements of section 1332.
>
> (c) The district courts may decline to exercise supplemental jurisdiction over a claim under subsection (a) if —

(1) the claim raises a novel or complex issue of State law,

(2) the claim substantially predominates over the claim or claims over which the district court has original jurisdiction,

(3) the district court has dismissed all claims over which it has original jurisdiction, or

(4) in exceptional circumstances, there are other compelling reasons for declining jurisdiction.

* * *

Portions of 28 U.S.C. §§ 1332 and 1441 are reprinted as Appendix M hereto.

STATEMENT OF THE CASE

Petitioners Robin and Renee Free are retail purchasers of infant formula. They filed a class action petition on October 14, 1993 in the Eighteenth Judicial District Court of the State of Louisiana against infant formula manufacturers Abbott Laboratories, Bristol-Myers Squibb Company, and Mead Johnson & Company. The Frees allege that the defendants conspired to raise the price of infant formula, in violation of the Louisiana antitrust statute and other state law; no federal claims are presented. 51 F.3d at 525, App. J at 77a. They claim that, as a result of defendants' conduct, retail purchasers of infant formula in Louisiana paid higher prices than they otherwise would have paid. The

petition seeks relief on behalf of themselves and a class of purchasers in an amount not to exceed $20,000 each. *Id.* at 526, App. J at 79a.

The defendants removed the case to the United States District Court for the Middle District of Louisiana, alleging diversity and federal question jurisdiction. The Frees moved for remand to Louisiana state court, arguing that neither their claims nor the claims of unnamed class members satisfied the then-applicable $50,000 amount-in-controversy requirement of diversity jurisdiction and that there was no federal question. The district court agreed there was no federal question jurisdiction and, after determining that the amount-in-controversy requirement was met for the Frees' claims due to their entitlement to attorney's fees as named plaintiffs, the district court held that 28 U.S.C. § 1367 allows supplemental jurisdiction over the unnamed class members, none of whose claims satisfy the amount-in-controversy requirement. 1994 U.S. Dist. LEXIS 4563, at *6-10, App. L at 104a. However, acting under Section 1367(c), the district court declined to exercise supplemental jurisdiction because the case presents novel issues of state law. *Id.* at *10-11, App. L at 104a-05a. With respect to the named plaintiffs, the district court declined jurisdiction under an abstention doctrine. 1994 WL 422298, at *2, App. K at 95a-97a.

Defendants took an interlocutory appeal of the remand order. The Frees again argued that their claims do not exceed the jurisdictional minimum and further that federal supplemental jurisdiction under 28 U.S.C. § 1367 does not encompass class members whose claims do not satisfy the jurisdictional minimum. The Fifth Circuit held that the Frees' claims satisfy the jurisdictional minimum because of their entitlement to attorney's fees. 51 F.3d at 527, App. I at 82a.

The Fifth Circuit then held that the line of cases culminating in *Zahn* was overruled by Section 1367 and therefore affirmed supplemental jurisdiction over unnamed class members even though their claims do not satisfy the jurisdictional minimum. *Id.* at 528-29, App. J at 89a. Finally, the court reversed the district court's decision to abstain with respect to the Frees' claims and held that to decline supplemental jurisdiction under Section 1367(c) with respect to unnamed class members was an abuse of discretion. *Id.* at 529-30, App. J at 90a-91a. In light of its holdings on diversity and supplemental jurisdiction, the Fifth Circuit declined to address the federal question issue. It denied rehearing and rehearing en banc. 65 F.3d at 33, App. I at 75a.

When the case returned to federal district court, two defendants moved to dismiss based on Louisiana antitrust law. Prior to a ruling on the motion, all defendants agreed to settle the case for $4.35 million. 953 F. Supp. at 752, App. G at 55a. The district court preliminarily approved the settlement and certified a settlement class. App. H. However, following notice to the class and a hearing, the court declined to grant final settlement approval. 953 F. Supp. at 756, App. G at 65a. Defendants moved for reconsideration of the denial of settlement approval but the district court denied the motion. App. F at 52a. The third defendant then joined the pending motion to dismiss. The district court ordered the case dismissed for failure to state a claim. 982 F. Supp. at 1218-19, App. D at 44a.

The Frees appealed and continued to assert the lack of federal subject matter jurisdiction because of failure to satisfy the amount-in-controversy requirement. On January 19, 1999, a new three-judge panel of the Fifth Circuit ruled that, under the law of the case doctrine, it would not consider

further the issue of subject matter jurisdiction. 164 F.3d at 272-73, App. C at 15a. The Court of Appeals then certified two questions of state antitrust law to the Louisiana Supreme Court. *Id.* at 276-77, App. C at 24a-25a. However, on March 19, 1999, the Louisiana Supreme Court denied certification. 1999 WL 194425, at *1, App. B at 9a. On June 3, 1999, the Fifth Circuit affirmed the district court's dismissal of plaintiffs' claims. 176 F.3d at 301, App. A at 8a.

REASONS FOR GRANTING THE WRIT

This Court has consistently required, in diversity cases, that the claims of each plaintiff satisfy the jurisdictional minimum set forth in 28 U.S.C. § 1332 (1994). The Court has applied this principle in a class action where some class members satisfied the minimum and others did not. *Zahn v. International Paper Co.*, 414 U.S. 291, 300 (1973) ("any plaintiff without the jurisdictional amount must be dismissed from the case, even though others allege jurisdictionally sufficient claims"). It also has applied the principle in a class action in which no plaintiff satisfied the minimum and the class members sought to aggregate their claims. *Snyder v. Harris*, 394 U.S. 332, 335 (1969) ("The traditional judicial interpretation under all of these [diversity jurisdiction] statutes has been from the beginning that the separate and distinct claims of two or more plaintiffs cannot be aggregated in order to satisfy the jurisdictional amount requirement."). And, the Court always has applied the same principle in non-class actions where one plaintiff satisfied the jurisdictional minimum but another plaintiff did not. *See, e.g., Clark v. Paul Gray, Inc.*, 306 U.S. 583, 589 (1939). This principle requiring the claims of each plaintiff to satisfy the jurisdictional minimum (referred to herein as "the *Zahn* principle") is firmly rooted in case law dating to 1832. *Zahn*,

414 U.S. at 515 & n.3 (citing *Oliver v. Alexander*, 31 U.S. (6 Pet.) 143 (1832)).

I.

THE CIRCUITS EXPRESSLY DISAGREE WHETHER THE SUPPLEMENTAL JURISDICTION STATUTE ELIMINATES OR PRESERVES THE RULE IN DIVERSITY CASES THAT THE CLAIMS OF EACH PLAINTIFF MUST SATISFY THE JURISDICTIONAL MINIMUM.

The Court of Appeals' decision in this case has been followed by the Seventh Circuit but expressly rejected by the Tenth and Third Circuits. Here, the Court of Appeals held that the supplemental jurisdiction statute, 28 U.S.C. § 1367, overrules the *Zahn* principle. According to the Court of Appeals, "under § 1367 a district court can exercise supplemental jurisdiction over members of a class, although they did not meet the amount-in-controversy requirement, as did the class representatives." *In re Abbott Labs.*, 51 F.3d 524, 529 (5th Cir. 1995), App. J at 89a. The Seventh Circuit has followed this holding. *Stromberg Metal Works, Inc. v. Press Mechanical, Inc.*, 77 F.3d 928, 930 (7th Cir. 1996) ("We follow Abbott Laboratories, which has strong support from the statutory text."); *In re Brand Name Prescr. Drugs Antitrust Litig.*, 123 F.3d 599 (7th Cir. 1997) ("At least one named plaintiff must satisfy the jurisdictional minimum. If he does, the other named plaintiffs and the unnamed class members can, by virtue of the supplemental jurisdiction conferred on the federal district courts by 28 U.S.C. § 1367, piggyback on that plaintiff's claim.").

However, in *Leonhardt v. Western Sugar Co.*, 160 F.3d 631, 640 (10th Cir. 1998), the Tenth Circuit concluded that

"a literal and textually faithful reading of § 1367(a) leads to the opposite conclusion from that of the Fifth and Seventh Circuits" and held that each plaintiff must satisfy the jurisdictional minimum. The Third Circuit also disagreed with the Fifth and Seventh Circuits in *Meritcare Inc. v. St. Paul Mercury Ins. Co.*, 166 F.3d 214 (3d Cir. 1999), in which it held that Section 1367 "preserves the prohibition against aggregation outlined in *Zahn v. International Paper Co.* and *Clark v. Paul Gray, Inc.*, and thus maintains the traditional rules governing diversity of citizenship and the amount-in-controversy under 28 U.S.C. § 1332." *See also Casteel v. Sara Lee Corp.*, No. Civ. 99-40117, 1999 WL 382375, at *6 (E.D. Mich. June 7, 1999) ("This Court duly notes that the circuits are in disagreement on the issue of whether 28 U.S.C. § 1367 overrules *Zahn*.").

These circuit cases reached opposite conclusions because they took different meanings from the text of Section 1367 and applied different methods of statutory interpretation. To reach its result in this case, the Fifth Circuit analyzed Section 1367 and found it neither unclear nor ambiguous:

> The statute's first section vests federal courts with the power to hear supplemental claims generally, subject to limited exceptions set forth in the statute's second section. Class actions are not among the enumerated exceptions.

In re Abbott Labs., 51 F.3d at 528, App. J at 87a. While acknowledging that the legislative history cites *Zahn* as a case "untouched by the Act," the Fifth Circuit held that "[w]e cannot search legislative history for congressional intent unless we find the statute unclear or ambiguous" and "[h]ere it is neither." *Id.* The court also noted that the omission of

class actions from the list of exceptions in § 1367(b) "may have been a clerical error," but held that "the statute is the sole repository of congressional intent where the statute is clear and does not demand an absurd result." *Id.* at 528-29, App. J at 87a-88a. Finding that overruling this Court's decision in *Zahn* would not be an absurd result, the court held there is supplemental jurisdiction over class members whose claims do not satisfy the jurisdictional minimum.

Following the Fifth Circuit's lead, the Seventh Circuit in *Stromberg* stated "we are reluctant to create a conflict among circuits on a jurisdictional issue" and agreed with the Fifth Circuit's reading of Section 1367. *Stromberg*, 77 F.3d at 930. In *Stromberg*, two plaintiffs asserted diversity jurisdiction but only one of them presented claims satisfying the jurisdictional minimum. The court held there was supplemental jurisdiction. In *Brand Name Prescription Drugs*, defendants in a class action alleging violations of state antitrust law removed the case from state court; plaintiffs argued the case should have been remanded for failure to satisfy the jurisdictional amount. Based upon *Abbott* and *Stromberg*, the Seventh Circuit held that as long as one named plaintiff satisfied the jurisdictional minimum, the other named plaintiffs and unnamed class members could "piggyback" by virtue of the supplemental jurisdiction statute "even though their own claims are for less than the jurisdictional minimum amount." *In re Brand Name Prescr. Drugs Antitrust Litig.*, 123 F.3d at 607. Finding no plaintiff satisfied the jurisdictional amount, the court ordered a remand of the case to state court.

In *Leonhardt* (the Tenth Circuit case rejecting the holdings of the Fifth and Seventh Circuits), a class action was brought that initially presented both federal and state

claims. Following dismissal of the federal claims, the district court held there was no supplemental jurisdiction over the state-law claims because only one plaintiff's claim satisfied the jurisdictional minimum. The Tenth Circuit affirmed, reasoning that the other circuits had wrongly focused on the absence of Fed. R. Civ. P. 23 from the exceptions listed in Section 1367(b):

> Those exceptions, however, concern only the exercise of supplemental jurisdiction over claims against defendants who are made parties to a diversity action under certain rules and claims by plaintiffs who seek to be added to an on-going diversity action. We are concerned, however, with whether Congress intended to change the rules about when a plaintiff can bring an initial diversity-based class action under Rule 23, where the court's original jurisdiction is based upon § 1332. The omission of Rule 23 from § 1367(b) has no bearing on that question.

Leonhardt, 160 F.3d at 639-40 (footnote omitted). Further, because Section 1367 commences by addressing "any civil action of which the district courts have original jurisdiction," the Tenth Circuit concluded that the statute expressly preserves the well-accepted rules of original jurisdiction, including the *Zahn* principle. *Id.* at 640. The Tenth Circuit stated:

> Thus, in our view § 1367(a) and (b) can be read literally, and unambiguously, to require each plaintiff in a class action diversity case to satisfy the *Zahn* definition of "matter in controversy" and to individually meet the $75,000 requirement.

Id. Finally, the court held that even assuming the statute was ambiguous, legislative history supported the court's interpretation because the House Judiciary Committee Report specifically referred to *Zahn* as a jurisdictional requirement undisturbed by the statute. *Id.* at 640-41.

In *Meritcare* (the Third Circuit case rejecting the holdings of the Fifth and Seventh Circuits), defendants removed a case based on diversity. It later became apparent that one plaintiff's claim satisfied the jurisdictional minimum under 28 U.S.C. § 1332 but a co-plaintiff's claim did not. After noting the circuit split, *id.* at 221 ("[t]he Court of Appeals for the Tenth Circuit, however, did not hesitate to take issue with both *Abbott* and *Stromberg*"), the court held Section 1367 to be ambiguous and therefore that resort to legislative history was appropriate. *Id.* at 222 ("we conclude that there is sufficient ambiguity in the statute to make resort to legislative history appropriate"). Further, the court held that reference to legislative history was appropriate even were it to conclude that Section 1367 was unambiguous because this was a rare case in which " 'the literal application of the statute will produce a result demonstrably at odds with the intentions of its drafters.' " *Id.* (*quoting United States v. Ron Pair Enters., Inc.*, 489 U.S. 235, 242 (1989)).

The Third Circuit reviewed the legislative history and observed that a House Judiciary Committee Report "flatly states that *Zahn*'s validity was not to be affected," *id.* at 220. It concluded:

> Our review of the text, legislative history, and origins of Section 1367 leads us to hold that it preserves the prohibition against aggregation outlined in *Zahn v. International Paper Co.* and *Clark v. Paul Gray, Inc.*, and thus maintains the traditional rules governing diversity of citizenship and the amount-in-controversy under 28 U.S.C. § 1332.

Id. at 222. The court ordered a remand to state court.

In short, faced with the question whether 28 U.S.C. § 1367 abrogates the *Zahn* principle, the Fifth and Seventh Circuits have answered "yes," and the Tenth and Third Circuits have answered "no." Two circuits hold the statute unambiguously overrules *Zahn*, one circuit holds the statute unambiguously does not overrule *Zahn*, and one circuit finds the statute to be ambiguous and therefore looks to the legislative history to hold the statute does not overrule *Zahn*. The district courts also are split, with the large majority adhering to *Zahn*.[1] One district court in the Seventh Circuit

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1. For cases holding that Section 1367 does not overrule *Zahn*, *see Allendale Mut. Life Ins. Co. v. Excess Ins. Co.*, No. 95 Civ. 10970 (SAS), 1999 WL 608788, at *14 (S.D.N.Y. Aug. 12, 1999); *City and County of San Francisco v. Hartford Life Ins. Co.*, No. C 99-0225 CRB ARB, 1999 WL 354522, at *5 (N.D. Cal. May 17, 1999); *Kanter v. Warner-Lambert Co.*, No. C99-1154 FMS, 1999 WL 390839, at *4 (N.D. Cal. June 9, 1999); *Casteel v. Sara Lee Corp.*, No. Civ. 99-40117, 1999 WL 382375, at *6 (E.D. Mich. June 7, 1999); *Universal Jewelry & Watch Repair, Inc. v. United Parcel Serv., Inc.*, No. 99-70016, 1999 U.S. Dist. LEXIS 5957, at *6-7 & n.2 (E.D. Mich. April 12, 1999); *Daniels v. Philip Morris Cos.*, 18 F. Supp. 2d 1110, 1114 (S.D. Cal. 1998); *Crosby v. America Online, Inc.*, 967 F. Supp. 257, 263 (N.D. Ohio 1997); *Russ v. State Farm Mut. Auto. Ins. Co.*, 961 F. Supp. 808, 819-20 (E.D. Pa. 1997); *McGowan v. Cadbury Schweppes, PLC*, 941 F. Supp. 344, 347-48 (S.D.N.Y. 1996); *Bernard v. Gerber Food Prods. Co.*, 938 F. Supp. 218, 224 (S.D.N.Y. 1996); *Blair v. Source One Mortgage Servs.* (Cont'd)

has openly registered its dissatisfaction with *Stromberg* and stated that the meaning of Section 1367 "may in time occupy the Supreme Court." *In re Amino Acid Lysine Antitrust Litig.*, 918 F. Supp. 1181, 1189 (N.D. Ill. 1996). The treatises are also split on the meaning of Section 1367,[2] as are the

(Cont'd)

Corp., 925 F. Supp. 617, 622-24 (D. Minn. 1996); *Snider v. Stimson Lumber Co.*, 914 F. Supp. 388, 389-92 (E.D. Cal. 1996); *Borgeson v. Archer-Daniels Midland Co.*, 909 F. Supp. 709, 716-17 (C.D. Cal. 1995); *Waters v. Grosfeld*, 904 F. Supp. 616, 620 (E.D. Mich. 1995); *Shelly v. Southern Bell Tel. & Tel. Co.*, 873 F. Supp. 613, 616 (M.D. Ala. 1995); *In re Potash Antitrust Litig.*, 866 F. Supp. 406, 413 (D. Minn. 1994); *Benfield v. Mocatta Metals Corp.*, No. 91 Civ. 8255, 1993 WL 148978, at *4 (S.D.N.Y. May 5, 1993); *Hairston v. Home Loan and Inv. Bank*, 814 F. Supp. 180, 181 n.1 (D. Mass 1993); *Mayo v. Key Fin. Serv., Inc.*, 812 F. Supp. 277, 278 (D. Mass. 1993); *Averdick v. Republic Fin. Serv., Inc.*, 803 F. Supp. 37, 45-46 (E.D. Ky. 1992), *overruled on other grounds by Page v. City of Southfield*, 45 F.3d 128, 132-33 (6th Cir. 1995).

For cases holding that Section 1367 does overrule *Zahn*, *see Duhaime v. John Hancock Mut. Life Ins. Co.*, 177 F.R.D. 54, 60 (D. Mass. 1997); *Leszczynski v. Allianz Ins.*, 176 F.R.D. 659, 666 (S.D. Fla. 1997); *Howard v. Globe Life Ins. Co.*, 973 F. Supp. 1412, 1415-16 (N.D. Fla. 1996); *Gilmer v. Walt Disney Co.*, 915 F. Supp. 1001, 1010 (W.D. Ark. 1996).

Additional district court decisions from the Third, Fifth, Seventh and Tenth Circuits were divided within and between circuits prior to the appellate decisions in those circuits. *See In re Abbott Labs.*, 51 F.3d at 528 n.8, App. J at 85a-86a (citing cases); *Borgeson*, 909 F. Supp. at 715-16 & nn.11, 12 (same); *In re Potash Antitrust Litig.*, 866 F. Supp. at 413 (same); 13 Charles Alan Wright, *et al.*, Federal Practice & Procedure § 3523.1 nn.65, 74 (1999 Supp.) (same).

2. *Compare* 5 James Wm. Moore et al., Moore's Federal Practice § 23.07[3][c] (3d ed. 1998) ("The conclusion that *Zahn*

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commentators, who have engaged in an unusually sharp exchange on the meaning of Section 1367.[3] A commentator

(Cont'd)

remains good law is ultimately unconvincing . . ."); *and* 2 Herbert B. Newberg & Alba Conte, Newberg on Class Actions § 6.11 (3d ed. 1992) ("The Act's probable overruling of *Zahn* is fully consistent with the reasoning of the Federal Courts Study Committee on whose recommendation the Act was adopted."); *with* 13 Charles Alan Wright, *et al.*, Federal Practice & Procedure § 3523.1 (1999 Supp.) ("The omission of any debate in the statute's history on the merits of this important change, one that would run counter to the stated purpose of Section 1367, makes the omission of the Rule 23 from Section 1367(b) seem more like an inadvertent mistake than a purposeful policy choice by Congress.") (quotation omitted). *See also Meritcare*, 166 F.3d at 220 n.5 (noting disagreement among treatises).

3. *See, e.g.*, Christopher M. Fairman, *Abdication to Academia: The Case of the Supplemental Jurisdiction Statute*, 28 U.S.C. § 1367, 19 Seton Hall Legis. J. 157 (1994); Thomas M. Mengler, *et al.*, *Congress Accepts Supreme Court's Invitation to Codify Supplemental Jurisdiction*, 74 Judicature 213, 215 (1991) ("the Supreme Court's holdings that . . . all class members must satisfy the amount-in-controversy requirement remain good decisional law."); Richard D. Freer, *Compounding Confusion and Hampering Diversity: Life After Finley and the Supplemental Jurisdiction Statute*, 40 Emory L.J. 445, 471 (1991) ("the statutory language overrules *Zahn*"); Thomas D. Rowe, Jr., *et al.*, *Compounding or Creating Confusion About Supplemental Jurisdiction? A Reply to Professor Freer*, 40 Emory L.J. 943. 944-45 (1991) ("Professor Freer purports to separate the wheat from the chaff and then proceeds to torch the farm."); Thomas C. Arthur & Richard D. Freer, *Grasping at Burnt Straws: The Disaster of the Supplemental Jurisdiction Statute*, 40 Emory L.J. 963, 963 (1991) ("If Professor Freer in fact torched the entire farm, it is because there was so much dry straw lying around after the three drafters finished tilting with the strawmen they created in their response to Professor Freer's article.").

who contends the statute is ambiguous has observed that "it will take a Supreme Court decision to straighten out this mess." Arthur & Freer, Grasping at Burnt Straws, *supra*, at 981.

The split in the circuit and district courts is express and irreconcilable. Either the principle of *Zahn* survives enactment of Section 1367 or it does not. Without a ruling from this Court, litigants will continue to engage in protracted, unproductive battles over a basic question of jurisdiction. As is clear from the numerous district court decisions addressing the question presented, the uncertainty is now resulting in the wasteful expenditure of resources by both courts and litigants on a fundamental issue of federal jurisdiction. *Cf. Navarro Savings Ass'n v. Lee*, 446 U.S. 458, 464 n.13 (1980) ("litigation over whether the case is in the right court is essentially a waste of time and resources") (quotation omitted); *Grubart v. Great Lakes Dredge & Dock Co.*, 513 U.S. 527, 549 (1995) ("clear bright-line" jurisdictional rule "ensures that judges and litigants will not waste their resources in determining the extent of federal subject matter jurisdiction.") (Thomas, J., concurring in the judgment). A ruling by this Court would stop this wasteful litigation.

II.

THE COURT OF APPEALS' DECISION RAISES FEDERALISM CONCERNS AND SIGNIFICANTLY EXPANDS FEDERAL JURISDICTION IN DIVERSITY CASES.

Under the rule adopted by the Fifth and Seventh Circuits and some district courts, a state-law claim now may be brought in or removed to federal court even though it does

not satisfy the jurisdictional minimum for diversity jurisdiction as long as diversity jurisdiction exists over another plaintiff's claim. Where, as here, at least one named plaintiff in a class action is held to have satisfied the jurisdictional minimum, the case can encompass the state-law claims of hundreds of thousands of class members even though the amount of each claim is only a few dollars.

Whether to interpret a federal jurisdiction statute broadly or narrowly implicates serious federalism concerns: "Due regard for the rightful independence of state governments, which should actuate federal courts, requires that they scrupulously confine their own jurisdiction to the precise limits which the statute has defined." *Healy v. Ratta*, 292 U.S. 263, 270 (1934), *quoted in Snyder v. Harris*, 394 U.S. 332, 340 (1969) (class members cannot aggregate claims to meet diversity jurisdictional minimum); *see also Kokkonen v. Guardian Life Ins. Co. of Am.*, 511 U.S. 375, 377 (1994) (federal court jurisdiction is limited and "it is to be presumed that a cause lies outside this limited jurisdiction" unless the party asserting jurisdiction establishes the contrary). The holding of the Fifth and Seventh Circuits that Section 1367 overrules *Zahn* results in federal courts adjudicating significantly more state-law claims, an encroachment upon the States' traditional role in the federal system. *Compare Free v. Abbott Labs.*, 176 F.3d 298 (5th Cir. 1999), App. A at 8a (federal court holding in a case of first impression that state antitrust statute does not provide a cause of action to indirect purchasers of infant formula) *with Hyde v. Abbott Labs., Inc.*, 473 S.E.2d 680, 688 (N.C. Ct. App. 1996) (state court holding that state antitrust statute does provide a cause of action to indirect purchasers of infant formula). By contrast, the holding of the Tenth and Third Circuits that *Zahn* is not overruled respects the States' role in determining

state-law issues except where Congress has specifically and clearly authorized federal jurisdiction.

Further, the Court of Appeals' decision in this matter significantly shifts to federal courts state-law claims that do not satisfy the jurisdictional minimum. The Seventh Circuit in *Stromberg* conceded that its interpretation of Section 1367 greatly expanded the federal caseload, but felt constrained by its reading of the statute's text. *See Stromberg*, 77 F.3d at 931 (overruling *Zahn* allows "thousands of small claims into federal court via the class device"). The federal district courts have expressed concern at the Court of Appeals' holding that *Zahn* is overruled due to the holding's substantial impact on their resources. *See, e.g., Daniels v. Philip Morris Cos.*, 18 F. Supp. 2d 1110, 1114 (S.D. Cal. 1998) ("A disavowal of *Zahn* would have profound implications for district courts."); *Allendale Mut. Life Ins. Co. v. Excess Ins. Co.*, No. 95 Civ. 10970 (SAS), 1999 WL 608788, at *14 (S.D.N.Y. Aug. 12, 1999) ("Nor do I believe it advisable to allow such aggregation in light of the demands upon federal judicial resources already stemming from diversity actions."). This Court, in adhering to the rule that the claims of each plaintiff must satisfy the jurisdictional minimum, has observed that a contrary rule would greatly increase the number of state-law cases in federal courts:

> To overrule the aggregation doctrine at this late date would run counter to the congressional purpose in steadily increasing through the years the jurisdictional amount requirement. That purpose was to check, to some degree, the rising caseload of the federal courts, especially with regard to the federal courts' diversity of citizenship jurisdiction. . . . [Overruling the aggregation doctrine] would seriously undercut the purpose of the jurisdictional amount requirement. The expansion of the federal caseload could be most noticeable in class actions brought on the basis of diversity of citizenship.

Snyder v. Harris, 394 U.S. 332, 339-40 (1969), *quoted in Russ v. State Farm Mut. Auto. Ins. Co.*, 961 F. Supp. 808, 812-13 (E.D. Pa. 1997) (Section 1367 does not overrule *Zahn*) (Pollak, J.).

Not only has the holding of the Fifth and Seventh Circuits extended federal jurisdiction to plaintiffs whose claims do not satisfy the jurisdictional minimum, it is also threatening to eliminate the complete diversity requirement that has been a pillar of diversity jurisdiction since 1806. The Seventh Circuit predicted this result in *Stromberg*, even as it followed the Fifth Circuit:

> The complete-diversity rule of *Strawbridge v. Curtiss*, 7 U.S. (3 Cranch) 267 (1806), excludes from federal court cases in which citizens of the same state are on each side. Supplemental jurisdiction has the potential to move from complete to minimal diversity.

Stromberg, 77 F.3d at 932; *see also Channel v. Citicorp Nat'l Serv., Inc.*, 89 F.3d 379, 385 (7th Cir. 1996) (citing *Stromberg* and stating that Seventh Circuit case law implies "that *Strawbridge* has been curtailed for cases within the scope of § 1367") (Easterbrook, J.).

In short, under the Fifth and Seventh Circuit's interpretation of Section 1367, the statute substantially

encroaches upon the States' role in interpreting state law and significantly taxes federal court resources. Such a result, especially in light of the contrary rulings of the Third and Tenth Circuits, should not continue without this Court's imprimatur.

III.

THE COURT OF APPEALS' DECISION EXPANDING FEDERAL JURISDICTION IN DIVERSITY CASES WAS WRONG.

The Court of Appeals' determination that Section 1367 overruled *Zahn* was wrong. In addition to the Tenth and Third Circuits, numerous courts have addressed the Fifth Circuit's error. Judge Louis Pollak, in a thorough opinion that has been widely cited, aptly described the error:

> To retain this case in this court is to say to Congress: "We know what you meant to say, but you didn't quite say it. So the message from us in the judicial branch to you in the legislative branch is: Gotcha! And better luck next time." Such a message is not required by the separation of powers. Nor is it in harmony with the fact that Congress and the courts, however different their respective roles, are parts of a single government.

Russ v. State Farm Mut. Auto. Ins. Co., 961 F. Supp. 808, 820 (E.D. Pa. 1997), *quoted in Meritcare*, 166 F.3d at 221; and *Leonhardt*, 160 F.3d at 641 n.9.

In *Borgeson v. Archer-Daniels Midland Co.*, 909 F. Supp. 709 (C.D. Cal. 1995), the court pointed out that:

> the plain language of subsection (a) is entirely consistent with *Zahn*. Through incorporation of the language "*or as expressly provided otherwise by federal statute*", Congress specifically included as an exception to § 1367(a) any other federal statute, including § 1332 (and its most relevant judicial interpretations *Zahn* and *Snyder*). Despite references to diversity jurisdiction and § 1332, and with full knowledge of the Supreme Court's long-standing interpretations of that language, nowhere in the Act did Congress change the language of § 1332. In choosing once again to keep the language of § 1332 in its original form, Congress reaffirmed the Supreme Court's historical treatment of the language "matter in controversy."

Id. at 716; *see also Crosby v. America Online, Inc.*, 967 F. Supp. 257, 263 n.4 (N.D. Ohio 1997) (same).

Moreover, the divergent interpretations of the statutory text lend credence to the argument that Section 1367 is ambiguous and therefore that reference to legislative history is appropriate. The only piece of legislative history is a House Judicial Committee report that specifically cites *Zahn* as a case unaffected by Section 1367. The House report was reproduced "substantially verbatim" in an analysis provided to the Senate. *See Russ*, 961 F. Supp. at 815, 818. The legislative history "is conclusive," *id.* at 820, that the *Zahn* principle was to be preserved.

CONCLUSION

The petition for a writ of certiorari should be granted.

Respectfully submitted,

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APPENDIX

APPENDIX A — OPINION OF THE UNITED STATES COURT OF APPEALS FOR THE FIFTH CIRCUIT DATED JUNE 3, 1999

Robin FREE and Renee Free,
Plaintiffs-Appellants,

v.

ABBOTT LABORATORIES, INC., Bristol-Myers Squibb Company, Inc., and Mead Johnson & Company, Defendants-Appellees.

No. 97-31341.

United States Court of Appeals,
Fifth Circuit.

June 3, 1999

* * *

Before REYNALDO G. GARZA, JONES and DeMOSS, Circuit Judges.

EDITH H. JONES, Circuit Judge:

The appellants, consumers of infant formula, sued the above-named manufacturers of infant formula under Louisiana's antitrust laws alleging a price-fixing conspiracy. Because this case is before us for a third time, it is unnecessary to recapitulate the procedural and factual history. *See Free v. Abbott Lab., Inc.,* 164 F.3d 270 (5th Cir.1999); *Free v. Abbott Lab.,* 51 F.3d 524 (5th Cir.), *reh'g denied,* 65 F.3d 33 (1995).

Appendix A

This panel certified two state law questions to the Louisiana Supreme Court: 1) whether Louisiana antitrust law grants standing to indirect purchasers[1] of consumer products; and, 2) whether Louisiana antitrust law provides a cause of action for interstate conspiracies in restraint of trade, or whether such suits are limited to wholly intrastate conspiracies. *See Abbott Lab.*, 164 F.3d at 277. The Louisiana Supreme Court denied certification, leaving us to fathom Louisiana's unsettled antitrust law as Louisiana courts would do it. *See Federal Deposit Ins. Corp. v. Abraham,* 137 F.3d 264, 268 (5th Cir.1998). In our best judgment, the Louisiana courts would follow the federal indirect purchaser rule and deny standing to the appellants. *See Illinois Brick Co. v. Illinois,* 431 U.S. 720, 97 S. Ct. 2061, 52 L.Ed.2d 707 (1977). In reaching this conclusion, we assume *arguendo* that Louisiana antitrust laws apply to a conspiracy carried on interstate that has effects within the state. *But see HMC Management Corp. v. New Orleans Basketball Club,* 375 So.2d 700, 706-07 (La.Ct.App.1979).

DISCUSSION

Louisiana law permits any person "who is injured in his business or property by any person by reason of any act or thing forbidden by this Part, [to] sue . . . and . . . recover threefold the damages sustained by him, the cost of suit, and a reasonable attorney's fee." La. Rev. St. Ann. § 51:137

1. Indirect purchasers "are not the immediate buyers from the alleged antitrust violators," but are those who buy goods through an intermediary such as a retailer or wholesaler. *Kansas v. UtiliCorp United, Inc.,* 497 U.S. 199, 207, 110 S.Ct. 2807, 2812, 111 L.Ed.2d 169 (1990).

Appendix A

(West 1987). This section is virtually identical to the federal antitrust enforcement provision, § 4 of the Clayton Act.[2] Although the Clayton Act is silent with respect to the standing afforded indirect purchasers, the United States Supreme Court long ago interpreted it to deny standing to indirect purchasers. *See Illinois Brick,* 431 U.S. at 745-48, 97 S.Ct. at 2074-75.

No Louisiana case directly addresses the issue of standing. The Louisiana Supreme Court afforded relevant insight to interpreting state antitrust statutes that are "virtually identical" to their federal counterpart when it noted that "the United States Supreme Court's interpretation . . . should be a persuasive influence on the interpretation of our own state enactment." *Louisiana Power and Light Co. v. United Gas Pipe Line Co.,* 493 So.2d 1149, 1158 (La.1986). Lower Louisiana courts have likewise considered federal antitrust standards a starting point for interpreting counterpart state statutes. *See, e.g., Louisiana ex rel. Ieyoub v. Bordens, Inc.,* 684 So.2d 1024, 1027 (La.Ct.App.1996), *writ denied,* 690 So.2d 42 (La.1997); *Reppond v. City of Denham Springs,* 572 So.2d 224, 228 (La.Ct.App.1990). The courts are not, however, required to abide by the federal standard if

2. Section 4 of the Clayton Act, 15 U.S.C. § 15 (1997), states in part:

> [A]ny person who shall be injured in his business or property by reason of anything forbidden in the antitrust laws may sue therefor in any district court of the United States . . . and shall recover threefold the damages by him sustained, and the cost of suit, including a reasonable attorney's fee.

compelling justifications exist for not doing so. *See Louisiana Power,* 493 So.2d at 1158 (cautioning that "federal analysis is not controlling"); *Reppond,* 572 So.2d at 228 n. 2 (same).

In *Louisiana Power,* the Louisiana Supreme Court held that a parent company and its subsidiary are capable of conspiring in restraint of trade under the Louisiana antitrust law — contrary to the United States Supreme Court's interpretation and in spite of virtually identical state and federal statutes. *See* 493 So.2d at 1158-60; *cf. Copperweld Corp. v. Independence Tube Corp.,* 467 U.S. 752, 104 S.Ct. 2731, 81 L.Ed.2d 628 (1984). The court articulated a number of reasons for deviating from the *Copperweld* decision. First, as a 1931 state court decision had held intraenterprise conspiracies violative of Louisiana antitrust law, the state's precedent was firmly established. Second, before the United States Supreme Court modified its interpretation of the Sherman Antitrust Act in *Copperweld,* it, too, had proscribed intraenterprise conspiracies under the federal law.[3] Moreover, *Copperweld* does not expressly exclude federal antitrust liability where the conspirator is partially-owned, as in *Louisiana Power,* rather than a wholly-owned subsidiary. Third, a per se rule exempting parent/subsidiary conspiracies from Louisiana antitrust law would divest the courts of authority reposed in them by the legislature — a result particularly worrisome because intraenterprise activity can have the same adverse economic effects as traditional conspiracies in restraint of trade. Fourth, the Louisiana

3. *See United States v. Yellow Cab Co.,* 332 U.S. 218, 67 S.Ct. 1560, 91 L.Ed. 2010 (1947).

antitrust laws aspire to a political as well as strictly economic purpose: their political goal is to "provid[e] an environment conducive to the preservation of our democratic political and social institutions."[4] Fifth, the Louisiana court was commanded by the "unqualified" statutory prohibition of "every" contract, combination or conspiracy in restraint of trade in Louisiana. La.Rev.Stat. Ann. § 51:122; *Louisiana Power,* 493 So.2d at 1160.

A careful comparison demonstrates that *Louisiana Power* is distinguishable from this case. Consider first the superficially formidable issue of the "plain meaning" of the remedy statute. Although the language of § 137, the statute here at issue, is also broad, whether it is "unqualified" like § 122 is the issue before us. No Louisiana court has squarely so held,[5] and the Supreme Court decision in *Illinois Brick* rested not on the breadth of "any person," but on the extent of injury to "business or property" comprehended by the antitrust laws. *See* 431 U.S. at 729, 97 S.Ct. at 2066. Antitrust injury has always been a policy laden-concept designed, inter alia, to distinguish damages caused by anticompetitive conduct from those not so caused. *See, e.g., Spectrum Sports,*

4. *Louisiana Power,* 493 So.2d at 1152 (quoting *Northern Pac. Ry. Co. v. United States,* 356 U.S. 1, 4, 78 S.Ct. 514, 517, 2 L.Ed.2d 545 (1958)).

5. In *State ex rel. Ieyoub v. Borden, Inc.,* 1995 WL 59548 (E.D.La. Feb.10, 1995), the federal district court noted, while discussing an issue of diversity jurisdiction, the absence of Louisiana caselaw interpreting whether § 137 provides a remedy for indirect purchasers. The decision contains no holding on the issue before us.

Inc. v. McQuillan, 506 U.S. 447, 458-59, 113 S.Ct. 884, 891-92, 122 L.Ed.2d 247 (1993). Louisiana courts have not eschewed the importance of defining antitrust injury in this manner but, in fact, have deferred to federal precedent. *See, e.g., J.B.N. Morris v. Rental Tools, Inc.,* 435 So.2d 528, 534 n. 1 (La.Ct.App.1983). The nature of antitrust injury encompassed by § 137 thus best characterizes the question before us.

Viewed from this perspective, the purposes of § 137 and § 122 differ significantly and further distinguish *Louisiana Power.* Section 122 was interpreted as "unqualified" in order to proscribe conduct promoted by one enterprise that may be economically as harmful as classic conspiratorial conduct between unrelated entities. Section § 137, however, runs the risk of functional deconstruction if interpreted to provide an "unqualified" right of recovery. In addition, the courts' role in policing conduct violative of Louisiana antitrust policy would not be diminished by a rule restricting recovery to direct purchasers; on the contrary, the remedy would become more effective. The *Louisiana Power* decision, on the other hand, concluded that a narrower construction of § 122 would divest courts of authority under the antitrust laws. *See* 493 So.2d at 1159. Finally, the political goal of the antitrust laws and the goal of furthering the economically efficient allocation of resources are both well served by rationalizing the antitrust remedy as the Supreme Court did in *Illinois Brick.*

The *Illinois Brick* rule permitting only direct purchasers to sue for antitrust injury reduces the "dimensions of complexity" that would otherwise curtail the effectiveness

of antitrust suits, *see* 431 U.S. at 737, 97 S.Ct. at 2070, and encourages "vigorous private enforcement" by enhancing direct purchasers' incentive to bring antitrust suits. *See id.* at 745-46, 97 S.Ct. at 2074-75. In contrast, the rule advocated by the Frees for antitrust recovery suits resembles chaos theory (a butterfly flapping its wings in the Amazon will affect global climate). *See* James Gleick, *Chaos: Making a New Science* (1987). The focus of suits would shift from the amount of increased prices caused by defendants' anticompetitive conduct (a relatively straightforward inquiry) to the allocation of damages among parties in the line of distribution to ultimate consumers. Litigation would be prolonged, would become far more complex factually and strategically, and would benefit lawyers and determined defendants while reducing recoveries for plaintiffs.[6]

The Frees seem to object that adopting the *Illinois Brick* rule deprives them of a state law recovery that would supplement, not conflict with federal law. *See California v. ARC America Corp.,* 490 U.S. 93, 109 S.Ct. 1661, 104 L.Ed.2d 86 (1989). But this assertion misses the mark. Neither the *California* case nor any cited Louisiana policy advocates increasing penalties on antitrust defendants or maximizing Louisiana plaintiffs' recovery as compared with federal law remedies. Instead, the question is whether

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6. As appellees correctly describe the non-*Illinois Brick* position: "To recover damages, every member of the [Frees'] putative class would have to prove not only the magnitude of the alleged overcharge in wholesale prices at the time they bought infant formula, but the retail prices paid and the proportion of the alleged wholesale overcharge passed on to consumers through those retail prices." Appellees' brief at 32.

Appendix A

Louisiana seeks to enforce a coherent state antitrust law that places the incentive to sue on the party best situated to recover. Because the *Illinois Brick* scheme is preferable for this purpose, we believe Louisiana courts would follow it.

Bolstering this conclusion is the fact that the majority of state appellate courts faced with this same issue have decided to follow the *Illinois Brick* road.[7] For these reasons, the appellants, as indirect purchasers of infant formula, lack standing to bring the present state antitrust claim.

Accordingly, we AFFIRM the district court's dismissal of appellants' claims.

AFFIRMED.

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7. *See Blewett v. Abbott Lab., Inc.*, 86 Wash.App. 782, 938 P.2d 842, 845-46 (1997); *Mack v. Bristol-Myers Squibb Co.*, 673 So.2d 100, 108, (Fla.Dist.Ct.App.1996); *Stifflear v. Bristol-Myers Squibb Co.*, 931 P.2d 471, 475-76 (Colo.Ct.App.1996). *But see Hyde v. Abbott Lab., Inc.*, 123 N.C.App. 572, 473 S.E.2d 680, 685-86 (1996) Several states have statutorily overruled *Illinois Brick*'s indirect purchaser rule, allowing any person to sue for antitrust violations whether injured "directly or indirectly." *See, e.g.*, Minn.Stat. § 325D.57 (1994) (recognized in *Minnesota ex rel. Humphrey v. Philip Morris, Inc.*, 551 N.W.2d 490 (Minn.1996)); Cal. Bus. & Prof.Code § 16750(a) (West 1997) (recognized in *Cellular Plus, Inc. v. Superior Court*, 14 Cal.App.4th 1224, 18 Cal.Rptr.2d 308 (1993)). Other states have taken the opposite approach and statutorily denied standing to indirect purchasers. *See, e.g.*, 740 Ill. Comp. Stat. Ann. 1°/₇(2) (West 1994) (recognized in *Gaebler v. New Mexico Potash Corp.*, 285 Ill.App.3d 542, 221 Ill.Dec. 707, 676 N.E.2d 228, 230 (1997) (permitting only the state attorney general to bring indirect purchaser suits)).

APPENDIX B — ORDER OF THE SUPREME COURT OF LOUISIANA DATED MARCH 19, 1999

Robin FREE and Renee FREE
v.
ABBOTT LABORATORIES, INC., Bristol-Meyers Squibb Company, Inc. and Mead Johnson & Company.

No. 99-CQ-0189

Supreme Court of Louisiana.

March 19, 1999

IN RE: Fee, Robin; — Plaintiff(s); Applying for Certified Question; United States 5th Cir.Ct. Number 97-31341;

Certification denied.

CALOGERO, C.J. and LEMMON and JOHNSON, JJ. would grant the certification.

KIMBALL, J. not on panel; recused.

APPENDIX C — OPINION OF THE UNITED STATES COURT OF APPEALS FOR THE FIFTH CIRCUIT DATED JANUARY 19, 1999

Robin FREE and Renee Free,
Plaintiffs-Appellants,

v.

ABBOTT LABORATORIES, INC., Bristol-Myers Squibb Company, Inc., and Mead Johnson & Company, Defendants-Appellees.

No. 97-31341.

United States Court of Appeals,
Fifth Circuit.

Jan. 19, 1999.

* * *

Before REYNALDO G. GARZA, JONES and DeMOSS, Circuit Judges.

EDITH H. JONES, Circuit Judge:

In this second appeal generated by an antitrust class action against baby-formula manufacturers, appellants renew their argument that the district court's exercise of diversity jurisdiction was improper because their claims did not satisfy the amount in controversy requirement of 28 U.S.C. § 1332 (1993). They alternatively contend that the district court erred in ruling that Louisiana antitrust law denied them standing

due to their status as indirect purchasers. Since the precise issue of jurisdiction was decided by this court before, the law of the case prevents its being reconsidered. In addition, we have determined that the indirect purchaser question and the interstate/intrastate conspiracy question must be certified to the Louisiana Supreme Court because they represent important state antitrust law policy decisions for which no controlling precedent exists. Notwithstanding the certification, we affirm the district court's dismissal of the Frees' other claims.

PROCEDURAL HISTORY

Appellants filed their class action petition against appellees Abbott Laboratories, Bristol-Myers Squibb Company, and Mead Johnson & Company (collectively "Abbott Labs") in Louisiana state court alleging a price-fixing conspiracy. Appellees removed the case to federal district court. The Frees objected to the removal, arguing that the federal court lacked jurisdiction because they sought only $20,000 in damages and thus did not satisfy the $50,000 amount in controversy requirement then prescribed by 28 U.S.C. § 1332. The district court ruled that since Louisiana law provided for attorneys' fees to be awarded to the named plaintiffs and not the attorneys, the amount recoverable by the plaintiffs exceeded the $50,000 threshold. However, the court applied the *Colorado River* abstention doctrine and tried to remand the case back to state court.

On appeal, this court agreed with the district court's conclusion that diversity jurisdiction existed. *See In re Abbott Lab.*, 51 F.3d 524, 526, *on reh'g*, 65 F.3d 33 (5th Cir.1995).

The court relied upon Article 595 of the Louisiana Code of Civil Procedure, which, together with § 51:137 of the Louisiana Revised Statutes, expressly awards attorneys' fees to the "representatives" of a class and the injured parties. *Id.* But the panel also held that the district court improperly abstained and accordingly vacated the remand to state court. *Id.* at 529-30.

Back in the federal district court, the Frees were unable to persuade the court that Louisiana antitrust law, unlike its federal counterpart, granted standing to indirect purchasers. The district court dismissed both the state law antitrust claims and the other state claims asserted by appellants.

DISCUSSION

A. Jurisdiction

Undeterred by this court's previous decision, appellants again contend that the federal courts' exercise of diversity jurisdiction was improper because their claims did not satisfy the amount in controversy requirement of 28 U.S.C. § 1332. The prior panel allegedly erred, according to the Frees, by crediting to them the class attorneys' fees for purposes of calculating the amount in controversy and by applying Louisiana's "procedural" attorneys' fee law (Art. 595) in a federal diversity case. Although appellants' argument bears on federal courts' jurisdiction, this is not an issue that we will reconsider.

Once a panel of this court has decided an issue of law or fact, the decision continues to govern all subsequent stages

of the same case. *See United States v. Becerra,* 155 F.3d 740, 752 (5th Cir.1998); *Copeland v. Merrill Lynch & Co. Inc.,* 47 F.3d 1415, 1423 (5th Cir.1995). Known as the law of the case doctrine, this principle is necessary to bring finality to litigation and to discourage "panel shopping" by litigants. *See Becerra,* 155 F.3d at 752. While application of the doctrine is discretionary, this court will generally refuse to revisit a prior panel's decision unless "(i) the evidence on a subsequent trial was substantially different, (ii) controlling authority has since made a contrary decision of the law applicable to such issues, or (iii) the decision was clearly erroneous and would work [sic] manifest injustice." *Id.* at 752-53. (quoting *North Miss. Comms., Inc. v. Jones,* 951 F.2d 652, 656 (5th Cir.1992)).

The Frees dispute application of the law of the case doctrine on two grounds. First, based on a recent *en banc* decision of this court, they urge that federal courts must constantly examine each case for subject matter jurisdiction, and if it does not exist, must remand the case to state court. *See Marathon Oil Co. v. Ruhrgas,* 145 F.3d 211 (1998), *cert. granted,* __ U.S. __, 119 S.Ct. 589, __ L.Ed.2d __, 67 U.S.L.W. 3273 (1998). The *Marathon* rule does not apply. Certainly, a federal court must always be satisfied that subject matter jurisdiction exists and must even raise the issue *sua sponte, Steel Co. v. Citizens For A Better Env't,* 523 U.S. 83, 118 S.Ct. 1003, 1012, 140 L.Ed.2d 210 (1998), but *Marathon* dealt with whether courts must initially determine subject matter jurisdiction before reaching the issue of personal jurisdiction. The Frees advocate a quite different rule of perpetual re-examination of precisely the same issue of subject matter jurisdiction. Other circuits have, however,

refused to recognize a "jurisdiction exception" to the law of the case doctrine. *See Ferreira v. Borja,* 93 F.3d 671, 674 (9th Cir.1996), *cert. denied,* __ U.S. __, 117 S.Ct. 972, 136 L.Ed.2d 856 (1997) ("Surely a court that has decided that it has jurisdiction is not duty-bound to entertain thereafter a series of repetitive motions to dismiss for lack of jurisdiction."); *LaShawn v. Barry,* 87 F.3d 1389, 1394 (D.C.Cir.1996), *cert. denied,* __ U.S. __, 117 S.Ct. 2431, 138 L.Ed.2d 193 ("[T]his court and other courts of appeals routinely apply law-of-the-case preclusion to questions of jurisdiction. . . ."). We see no reason to deviate from the weight of authority.[1]

The Frees' second argument emphasizes that in a lawsuit removed from state court, as this was, "[if] at any time before final judgment it appears that the District Court lacks subject matter jurisdiction, the case shall be remanded." 28 U.S.C. § 1447(c). And, reinforcing this language, the Supreme Court has observed that, "[d]espite a federal trial court's threshold denial of a motion to remand, if, at the end of the day and case, a *jurisdictional* defect remains uncured, the judgment must be vacated." *Caterpillar, Inc. v. Lewis,* 519 U.S. 61, 117 S.Ct. 467, 477, 136 L.Ed.2d 437 (1996) (emphasis in

1. Although the Third Circuit disagreed with the Ninth and D.C. Circuits, its decision is not inconsistent with our present decision because it limits re-examination of prior decisions to "extraordinary circumstances [that] warrant such reconsideration." *Public Interest Research Group v. Magnesium Elektron, Inc.,* 123 F.3d 111, 118 (3d Cir.1997). The "extraordinary circumstances" approved of by the *Magnesium Elektron* Court are the same exceptions to the law of the case doctrine recognized by this court in *Becerra. See id.* at 116-18.

original) (citing Fed.R.Civ.P. 12(h)(3)). The Frees ignore, however, that our prior panel found that no jurisdictional defect burdens this case. That prior decision was based on a straightforward application of Louisiana law in a diversity context. Had the controlling law or facts changed, or had some glaring error in removal procedure been uncovered, *see e.g., Caterpillar, supra,* we would be obliged by the foregoing authorities to reassess jurisdiction. To this extent, an issue of jurisdiction imposes a more rigorous inquiry than the ordinary discretion attendant to the law of the case doctrine. But none of the warning signs is present here.

The only ground of re-examination urged by the Frees, other than their complaint that the prior panel got it wrong on jurisdiction, is the Louisiana appellate court's decision in *In re Gas Water Heater Prods. Liab. Litig.,* 697 So.2d 341 (La.Ct.App.1997), *rev'd,* 711 So.2d 264 (La.1998), which held that attorneys' fees awarded under Article 595 have no effect on the amount in controversy for state court jurisdiction purposes. Appellants fail to note that the *Gas Water Heater* court approved of and distinguished the prior decision in this case on the basis that it involved a suit under Louisiana's antitrust laws, which statutorily provide for attorneys' fees as an element of the plaintiffs' damages. *See id.* at 346 ("[B]ecause attorney's fees are included as a statutory element of a plaintiff's damages, consideration of attorneys' fees was proper to determine the jurisdictional amount for a jury trial."). *Gas Water Heater* reinforces rather than defeats the prior Fifth Circuit opinion in this case.

The issue of subject matter jurisdiction may not, for all of these reasons, be reconsidered in this appeal.

B. Other State Law Claims

Appellants argue that the district court erroneously dismissed their claims alleging violations of Louisiana's general tort statute, La. Civ.Code Ann. art. 2315 (West 1997), and fraud statute, La. Civ.Code Ann. art. 1953 (West 1997). The appellants' arguments are unpersuasive.

The Frees rely on *Loew's, Inc. v. Don George, Inc.*, 237 La. 132, 110 So.2d 553 (La.1959), to support their contention that antitrust plaintiffs in Louisiana may also sue in tort under article 2315. Contrary to appellants' argument, however, *Loew's* does not stand for the proposition that alleged antitrust violators are also liable in tort. *Loew's* held that the statute of limitations for Louisiana antitrust actions was the same as for tort actions because antitrust actions resemble tort actions more than breach of contract actions. *See id.* at 557-60. Because neither the Louisiana Supreme Court nor the Louisiana legislature has recognized a tort cause of action for violations of state antitrust laws, we likewise decline to recognize its existence.[2]

Appellants next contend that they have stated a valid cause of action for fraud under Article 1953. However, "[t]o recover under Article 1953, [the Frees] must demonstrate the existence of a contract." *Newport Ltd. v. Sears, Roebuck & Co.*, 6 F.3d 1058, 1067 (5th Cir.1993). Because the Frees

2. Appellant's argument is even more incongruous with Art. 2315, considering that the Civil Code provision is expressly addressed to negligent conduct. Antitrust price-fixing is hardly negligent.

were indirect purchasers of infant formula and had no contract with appellees, they have not stated a valid cause of action. Although the Frees correctly note that an action for fraud (negligent misrepresentation) can also be based in tort under article 2315, *see id.* at 1068, the Frees' claim likewise fails because they are required to show that Abbott Labs owed them a legal duty to disclose information. *See Abell v. Potomac Ins. Co.*, 858 F.2d 1104, 1131 n. 33 (5th Cir.1988), *vacated on other grounds sub nom., Fryar v. Abell*, 492 U.S. 914, 109 S.Ct. 3236, 106 L.Ed.2d 584 (1989); *Wise v. Lapworth*, 614 So.2d 728, 731-32 (La.Ct.App.1993). Since Abbott Labs owed no legal duty to disclose their alleged price-fixing scheme, the Frees have failed to allege a valid cause of action.

C. Motion to Certify Louisiana Antitrust Questions

The appellants have moved this court to certify the remaining two issues to the Louisiana Supreme Court. Specifically, they request certification concerning whether Louisiana antitrust law affords a cause of action to indirect purchasers of infant formula and whether Louisiana law prohibiting conspiracies "in restraint of trade or commerce in this state" applies to alleged interstate conspiracies.

"As a general proposition we are chary about certifying questions of law absent a compelling reason to do so; the availability of certification is such an important resource to this court that we will not risk its continued availability by going to that well too often." *Jefferson v. Lead Indus. Assoc. Inc.*, 106 F.3d 1245, 1247 (5th Cir.1997) (per curiam).

Requests to certify questions to the highest court of a state are generally denied when the primary reason for certification is that state courts have not issued a definitive answer on the particular issue. *See Transcontinental Gas Pipeline Corp. v. Transportation Ins. Co.*, 958 F.2d 622, 623 (5th Cir.1992). "Certification is not a panacea for resolution of those complex or difficult state law questions which have not been answered by the highest court of the state." *Id.* Nevertheless, certification may be advisable where important state interests are at stake and the state courts have not provided clear guidance on how to proceed. *Id.* The tests for certification are easily satisfied here.[3]

1. Indirect Purchaser Rule

Appellants argue that the district court erred in concluding that Louisiana antitrust law denies standing to consumers of infant formula who are indirect purchasers from the defendant manufacturers. Louisiana antitrust law permits "any person who is injured" by an antitrust violation to sue

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3. Since 1990, this court has certified only nine cases to the Louisiana Supreme Court. *See Hodgen v. Forest Oil Corp.*, 87 F.3d 1512 (1996); *Wallace v. Shreve Mem. Library*, 79 F.3d 427 (1996); *Naquin v. Prudential Assurance Co., Ltd.*, 65 F.3d 427 (1995); *First Nat'l Bank of Boston v. Beckwith Mach. Co.*, 26 F.3d 580 (1994); *Schirmer v. Edwards*, 2 F.3d 117 (1993); *Grubbs v. Gulf Int'l Marine Inc.*, 985 F.2d 762 (1993); *Frey v. Amoco Prod. Co.*, 951 F.2d 67 (1992); *Louisiana v. Roemer*, 949 F.2d 145 (1991). In the most recent instance, we certified the pressing question "whether dairy cows owned by a dairy farmer are exempt as tools or instruments of the debtor's trade under Louisiana Revised Statute 13:3881(A)(2)." *Wilson v. Bryan*, 162 F.3d 378, (5th Cir. 1998).

the offender for treble damages, costs, and attorneys' fees. *See* La. Rev. St. Ann. § 51:137 (West 1987).[4] Section 137 is nearly identical to the federal enforcement provision, § 4 of the Clayton Act,[5] which the United States Supreme Court has interpreted to deny standing to indirect purchasers. *See Illinois Brick Co. v. Illinois*, 431 U.S. 720, 745-46, 97 S.Ct. 2061, 2074-75, 52 L.Ed.2d 707 (1977). Because Louisiana courts have never decided whether Louisiana's antitrust law is comparably limited, the district court decided the issue as if it were a Louisiana appellate court. *See Federal Deposit Ins. Corp. v. Abraham*, 137 F.3d 264, 268 (5th Cir.1998). The court concluded that Louisiana would follow the federal indirect purchaser rule because the language of the two provisions is nearly identical and Louisiana courts often look

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4. Section 51:137 reads:

> Any person who is injured in his business or property by any person by reason of any act or thing forbidden by this Part may sue in any court of competent jurisdiction and shall recover threefold the damages sustained by him, the cost of suit, and a reasonable attorney's fee.

5. 15 U.S.C. § 15 (1997). Section 4 of the Clayton Act reads in part:

> [A]ny person who shall be injured in his business or property by reason of anything forbidden in the antitrust laws may sue therefor in any district court of the United States . . . and shall recover threefold the damages by him sustained, and the cost of suit, including a reasonable attorney's fee.

to federal antitrust jurisprudence for guidance in interpreting the state's antitrust laws.[6]

The Frees — and the Louisiana Attorney General as *amicus curiae* — urge that the Louisiana Supreme Court would decline to follow the federal indirect purchaser rule. The decisions of Louisiana courts have provided mixed signals on how to interpret state antitrust statutes when a corresponding federal rule exists. For example, in *Louisiana Power and Light Co. v. United Gas Pipe Line Co.*, 493 So.2d 1149, 1158 (La.1986), the Louisiana Supreme Court noted that, given the similarity between the federal and state antitrust provisions, the federal interpretation "should be a persuasive influence on the [state's] interpretation." *Id.; see also Reppond v. Denham Springs*, 572 So.2d 224, 229-30 (La.Ct.App.1990) (finding that the "sound reasoning" of the federal antitrust rule justified its incorporation into state antitrust jurisprudence). In spite of this observation, however, the *Louisiana Power* court declined to follow the federal rule. *See* 493 So.2d at 1160. These cases provide little support

6. Several state courts have interpreted their own antitrust laws, which also mirror § 4 of the Clayton Act, to deny standing to indirect purchasers. *See Blewett v. Abbott Labs., Inc.*, 86 Wash.App. 782, 938 P.2d 842, 845-46 (Wash.Ct.App.1997); *Stifflear v. Bristol-Myers Squibb Co.*, 931 P.2d 471, 475-76 (Colo.Ct.App.1996); *Mack v. Bristol-Myers Squibb Co.*, 673 So.2d 100, 108, (Fla.Dist.Ct.App.1996). *But see Hyde v. Abbott Labs., Inc.*, 123 N.C.App. 572, 473 S.E.2d 680, 686 (1996) (refusing to adopt the *Illinois Brick* rule, even though the state's antitrust statute is patterned after § 4 of the Clayton Act); *Blake v. Abbott Labs., Inc.*, 1996 WL 134947 (Tenn.Ct.App. March 27, 1996) (granting standing to indirect purchasers under the Tennessee Trade Practices Act).

either for adoption of the federal antitrust rule, as in *Reppond*, or for rejection of the federal model, as in *Louisiana Power*. Given the importance of the indirect purchaser issue and the lack of clear guidance from the courts of Louisiana, we certify the question to the Louisiana Supreme Court.

2. Interstate/Intrastate Conspiracy

Louisiana antitrust law prohibits every "conspiracy, in restraint of trade or commerce in this state. . . ." La. Rev. Stat. Ann. § 51:122 (West 1987). The parties disagree on the meaning of the term "in this state." The Frees contend that it creates a cause of action for alleged interstate conspiracies that have the effect of restraining trade in Louisiana. Abbott Labs, on the other hand, argues that the statute covers only those conspiracies that are wholly intrastate. Because neither the language of the statute nor Louisiana caselaw resolves this important antitrust issue, we certify it to the Louisiana Supreme Court.

Each party supports its respective argument by referring to the plain language of the statute and to the canons of statutory construction. The Frees cite the "last antecedent" canon,[7] arguing that the qualifying phrase "in this state" applies to the immediately preceding phrase "trade or commerce." Therefore, the statute should be read to prohibit

7. Under the "last antecedent" canon of statutory construction, a qualifying phrase in a statute "usually is construed to apply to the provision or clause immediately preceding it." *In re RLV*, 484 So.2d 206, 209 (La.Ct.App.1986) (quoting Sutherland Stat. Const. § 47.33 (4th ed.1984)).

any price-fixing conspiracy that restrains trade in Louisiana. Abbott Labs counters with a canon of its own: "the act as a whole ought to be interpreted so that no clause, sentence, or word shall be superfluous, or meaningless, if that result can be avoided." *Dore v. Tugwell,* 228 La. 807, 84 So.2d 199, 204 n. 6 (La.1955) (internal quotations omitted) (*quoting Hibernia Nat'l Bank v. Louisiana Tax Comm'n.,* 195 La. 43, 196 So. 15, 18 (1940)). Abbott Labs argues that because the statutory definition of "commerce" specifies that "commerce means trade or commerce *within this state,*" La.Rev.Stat. Ann. § 51:121 (West 1987) (emphasis added), the phrase "in this state" found in § 122 would be superfluous if it referred to the trade or commerce involved as the Frees contend. Thus, Abbot Labs argues that to give meaning to the definition of "commerce," the term "in this state" must apply only to the conduct prohibited by the statute and not the commerce involved.

In spite of these statutory arguments, the language of § 122 does not resolve the interstate/intrastate conspiracy issue. Neither do the decisions of the Louisiana courts. Each party cites *HMC Management Corp. v. New Orleans Basketball Club,* 375 So.2d 700 (La.Ct.App.1979), to justify its respective argument. In *HMC,* the plaintiffs sued the Jazz, a professional basketball team, alleging that the Jazz breached its agreement to lease a New Orleans sports venue in violation of Louisiana's antitrust statutes. The Jazz countered that they were engaged in interstate commerce, and therefore, federal antitrust laws preempted Louisiana's antitrust laws. The court agreed with the Jazz and, with respect to those claims that involved interstate commerce,

held that Louisiana's antitrust law did not apply. *Id.* at 706-07. The lease agreement, however, might be within the reach of Louisiana's antitrust laws because it was an "area of state interest," and the determination whether the Jazz violated the lease was a "state question." *Id.* at 707; *see also English v. National Collegiate Athletic Ass'n,* 439 So.2d 1218, 1223-24 (La.Ct.App.1983) (holding that because the NCAA football program engages in interstate commerce, § 122 does not apply). Abbott Labs cites *HMC* and *English* for the proposition that Louisiana antitrust law applies only to intrastate conduct.[8] Not surprisingly, the Frees disagree and argue that these cases do not apply to this case because they apply only to interstate sporting associations.

Finally, appellants refer to Judge Posner's reasoning in *In re Brand Name Prescription Drugs Antitrust Litig.,* 123 F.3d 599, 612-613 (7th Cir.1997), where he concluded that Alabama's antitrust statue covered interstate conduct because to hold otherwise would render the statute a "dead letter" and because the modern trend among state courts is to interpret antitrust statutes to cover interstate commerce. *Id.* The Frees thus argue that limiting § 122 to cover only intrastate commerce would likewise kill the antitrust statute because virtually no commercial activity is purely intrastate. Notwithstanding the force of this logic, however, we conclude that the Louisiana Supreme Court is better suited

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8. The appellees also rely on *Al Copeland Enters. v. Jamplis,* 1991 WL 49651 *5 (E.D.La.1991), to argue that "Louisiana antitrust laws do not apply to interstate commerce. . . ." Although the federal district court made this legal finding, it does not guide us in resolving how the Louisiana Supreme Court would decide the issue.

to decide this important state antitrust issue and therefore certify the question to the Louisiana Supreme Court.[9]

CERTIFICATION

Because these antitrust issues are matters of Louisiana law that will determine the outcome of this case and because there are no clear controlling precedents in the decisions of the Louisiana Supreme Court, we hereby invoke the certification privilege granted by Louisiana Supreme Court Rule XII.[10]

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9. Our conclusion that the Louisiana Supreme Court should resolve this issue is reinforced by the subsequent events surrounding the *Prescription Drugs* case. One year after the Seventh Circuit's decision, the Alabama Supreme Court rejected *Prescription Drugs* and held that its antitrust laws are limited to intrastate conduct. *See Abbott Labs. v. Durrett,* 1998 WL 436062, at *22 (Ala. July 31, 1998).

10. Louisiana Supreme Court Rule XII, section 1 reads:

> When it appears to the Supreme Court of the United States, or to any circuit court of appeal of the United States, that there are involved in any proceedings before it questions or propositions of law of this state which are determinative of said cause independently of any other questions involved in said case and that there are no clear controlling precedents in the decisions of the supreme court of this state, such federal court before rendering a decision may certify such questions or propositions of law of this state to the Supreme Court of Louisiana for rendition of a judgment or opinion concerning such questions or propositions of Louisiana law. This court may, in its discretion, decline to answer the questions certified to it.

We certify the following questions to the Louisiana Supreme Court:

1) Does the Louisiana antitrust enforcement provision, La. Rev. St. Ann. § 51:137 (West 1987), allow the federal rule as outlined in *Illinois Brick v. Illinois,* 431 U.S. 720, 97 S.Ct. 2061, 52 L.Ed.2d 707 (1977), and deny standing to indirect purchasers of products whose prices have been illegally fixed in an alleged conspiracy violative of the statute?

2) Does La. Rev. St. Ann. § 51:122 (West 1987), apply to an alleged interstate conspiracy to fix the wholesale price of infant formula that has the effect of restraining trade in Louisiana?

If the Louisiana Supreme Court accepts this certificate, the answers provided will determine the outcome of this appeal. We disclaim any intent that the Louisiana Supreme Court confine its reply to the precise form or scope of the legal questions certified. We retain cognizance of this case while pending before the Louisiana Supreme Court and transfer the record and appellate briefs with our certification to the Supreme Court of Louisiana.

Appellants' motion to certify the indirect purchaser question and the interstate conspiracy question to the Louisiana Supreme Court is GRANTED.

APPENDIX D — RULING OF THE UNITED STATES DISTRICT COURT FOR THE MIDDLE DISTRICT OF LOUISIANA ON MOTIONS TO DISMISS OR IN THE ALTERNATIVE FOR SUMMARY JUDGMENT DATED NOVEMBER 6, 1997

Robin FREE and Renee Free

v.

ABBOTT LABORATORIES, Bristol-Myers Squibb Company, Mead Johnson & Company.

No. CIV. A. 93-971-A.

United States District Court,
M.D. Louisiana.

Nov. 6, 1997.

* * *

RULING ON MOTIONS TO DISMISS OR IN THE ALTERNATIVE FOR SUMMARY JUDGMENT

JOHN V. PARKER, Chief Judge.

This matter is before the court on motions to dismiss, or in the alternative, for summary judgment by defendants, Bristol-Myers-Myers Squibb Company and Mead Johnson & Company. Also pending is a motion to dismiss by defendants, Abbott Laboratories. Because Abbott

Laboratories adopts the memoranda filed on behalf of Bristol-Myers and Mead Johnson, the court will address the motions by referring to defendants collectively. Removal jurisdiction is based upon 28 U.S.C. § 1332. In a prior ruling this court held that there is diversity of citizenship jurisdiction in this case which ruling was affirmed, although the court's attempt to remand the action to state court on the grounds of comity was reversed. See *In re Abbott Laboratories,* 51 F.3d 524 (5th Cir.1995).

Background

On October 14, 1993, plaintiffs filed this action seeking damages for economic loss including treble damages, attorney fees, and legal interest, The plaintiffs allege that defendants entered a conspiracy to fix prices in violation of Louisiana's antitrust law, La. R.S. 51:122 et seq. Specifically, plaintiffs allege "an understanding and concert of action among defendants, the substantial terms of which were to raise, fix, maintain and stabilize at artificially high levels the wholesale price of infant formula sold in the United States, including the state of Louisiana." Plaintiffs purportedly filed this lawsuit on behalf of themselves and a class of consumers who purchased one or more of defendants' brands of infant formula in the state of Louisiana at any time during the period of January 1, 1980 through December 31, 1992.

On February 23, 1996, defendants Bristol-Myers and Mead Johnson moved to dismiss plaintiffs' claims or alternatively for summary judgment. Subsequent to the filing of the motion by defendants, plaintiffs entered into settlement

agreements with defendants. The court tentatively certified a class for settlement purposes only. On December 16, 1996, on a motion by plaintiffs, this court held a fairness hearing concerning final approval of the settlement agreements. After careful consideration of the matter, the court, on January 21, 1997, denied the motion by plaintiffs for final approval of settlements. 953 F.Supp. 751.

Subsequently, the court denied defendants' motion for reconsideration regarding final approval of the settlements and ordered all parties to submit additional evidence and briefs on the pending motions to dismiss, or in the alternative for summary judgment.

Defendants move to dismiss plaintiffs' claim under Louisiana Antitrust Law, La. R.S. 51:122 et seq. on the basis that 1) indirect purchasers lack standing under La. R.S. 51:122 et seq. and 2) La. R.S. 51:122 only applies to intrastate, and not interstate, conspiratorial conduct. Defendants also move to dismiss plaintiffs' claims for failure to state a claim under La. Civil Code articles 2315[1] and 1953.[2] Each will be addressed respectively.

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1. La. Civil Code article 2315 reads:

> Every act whatever of man that causes damage to another obliges him by whose fault it happened to repair it.

2. La. Civil Code article 1953 provides:

> Fraud is a misrepresentation or a suppression of the truth made with the intention either to obtain an unjust

(Cont'd)

Discussion

The court may not grant defendants' motion to dismiss for failure to state a claim unless it is clear that the plaintiffs can prove no set of facts consistent with the allegations of the complaint which would entitle them to relief. *Hishon v. King & Spalding,* 467 U.S. 69, 104 S.Ct. 2229, 81 L.Ed.2d 59 (1984). It is well established that the court must accept the factual averments as true, and view them in the light most favorable to the plaintiff. *Rankin v. City of Wichita Falls,* Tex., 762 F.2d 444 (5th Cir.1985).

Dismissal Under Louisiana Antitrust Law

To determine whether the complaint reveals facts which would foreclose recovery as a matter of law, the court must apply Louisiana substantive law. *Erie R.R. v. Tompkins,* 304 U.S. 64, 58 S.Ct. 817, 82 L.Ed. 1188 (1938) (holding that a federal court sitting in a diversity case in which there exists no applicable substantive federal statutory or constitutional law must apply relevant state substantive laws). In applying the substantive law of Louisiana, we recognize that civilian jurisdictions, such as Louisiana, follow the theory of jurisprudence constante.[3] Federal law (which obviously binds

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(Cont'd)

> advantage for one party or to cause a loss or inconvenience to the other. Fraud may also result from silence or inaction.

3. In an article, "Life on a Federal Island in the Civilian Sea," 15 Mississippi College Law Review 1 (1994), Professor William E. Crawford explains the civilian theory:

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this federal court) mandates that a federal court sitting in diversity determine state law by looking to the case law of the highest state court. *Texas Dept. of Housing and Community Affairs v. Verex Assurance, Inc.*, 68 F.3d 922, 928 (5th Cir.1995), citing *Ladue v. Chevron U.S.A., Inc.*, 920 F.2d 272, 274 (5th Cir.1991). Because the Louisiana Supreme Court has not decided the issue of whether indirect purchasers such as plaintiffs[4] have a cause of action under

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(Cont'd)

> The essence of the theory of jurisprudence constante, . . . is that judicial precedent is established by a judge on the basis of general rules of law provided by legislators for the decision of those disputes, and is not based on the general rules of law extracted from judicial precedent. The accumulated precedents gain significance because the words of the legislation, as consistently spoken by judges in their decisions, are attributed to the legislator, and the meaning of the rule of law enacted by the legislator is taken from the specific meaning given to it by judges. Further, the judge analyzes those judicial decisions to determine whether or not they comprise a general rule of law consistent with the needs of the pending case. If what he finds does not fit the needs of the case, then he may disregard the law as spoken by the judges and "return to the words of the general rule of law spoken by the legislator, under the theory that judges are bound to apply the law as given to them by the legislature and not as paraphrased by other judges." *Id.* at 4. (Footnotes omitted).

4. Plaintiffs do not claim that they are the immediate buyers from the defendants, the alleged antitrust violators. Rather, plaintiffs claim that the purported nationwide conspiracy caused retail prices of infant formula purchased by plaintiffs to be raised, fixed, maintained, and stabilized at artificially high prices. Plaintiffs are, therefore, only indirect purchasers.

the Louisiana antitrust law, this court must apply the law as the civilian system commands so as to determine what the state supreme court would hold if construction of the law were presented to it.

Interestingly, the substantive state law which federal law requires this court to apply, points the court back to federal case law for guidance. The applicable sections of Louisiana anti-trust law are essentially copies of federal anti-trust law. Because of this similarity, Louisiana courts routinely look to federal anti-trust jurisprudence as "a persuasive influence on interpretation of our own state enactments." See e.g. *La. Power & Light v. United Gas Pipe Line*, 493 So.2d 1149, 1158 (La.1986).

Louisiana law condemns price fixing. La. R.S. 51:122 provides:

> every contract, combination in the form of trust or otherwise, or conspiracy, in restraint of trade or commerce in the state of Louisiana is illegal.[5]

The bone of contention in this litigation relates to the question of damages and who is allowed to claim them. The operative language is identical in both state and federal statutes. La. R.S. 51:137 provides:

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5. The federal counterpart, Section 1 of the Sherman Act, 15 U.S.C. § 1, reads: "Every contract, combination in the form of trust or otherwise, or conspiracy, in restraint of trade or commerce among the several States, or with foreign nations, is hereby declared to be illegal."

> "any person who is injured in his business or property by any person by reason of any act or thing forbidden by this Part may sue in any court of competent jurisdiction and shall recover three fold the damages sustained by him, the cost of suit, and a reasonable attorney's fee."[6]

Federal interpretation of the damages statute is quite clear: Under § 4 of the Clayton Act, indirect purchasers (consumers) need not apply for damages. The entire antitrust injury is inflicted upon direct purchasers only and the "passing on" of illegal price increases is not allowed either as a defense in an antitrust action or as damages to plaintiffs who are remote customers.

Plaintiffs here argue that they "persons" who have been injured in their business and property by a conspiracy to fix prices in which the defendants engaged and that under the clear wording of § 137 they are entitled to recover threefold the damages sustained by them. In effect, plaintiffs argue that the courts should apply Article 9 of the Louisiana Civil Code[7] and end the matter. Defendants argue that an in depth

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6. Section 4 of the Clayton Act 15 U.S.C. § 15 reads: "any person who shall be injured in his property or business by reason of anything forbidden in the antitrust laws may sue therefore in any district court of the United States in the district in which the defendant resides or is found or has an agent, without respect to the amount in controversy, and shall recover three-fold the damages by him sustained and the cost of suit, including a reasonable attorney's fee."

7. Article 9 of the Code reads: "When a law is clear and unambiguous and its application does not lead to absurd consequences, the law shall be applied as written and no further interpretation may be made in search of the intent of the legislature."

consideration of the issues will demonstrate that application of the literal words of the statute leads to absurd consequences and that further interpretation is required.

Initially it cannot be disputed that the purposes of both state and federal law are precisely the same — to discourage price fixing and other forms of restraint of trade and to punish those who engage in such conduct as well as to reward with treble damages the victims of such practices. It is also clear that treble damages are included as a statutory encouragement to private enforcement actions, dubbed "private attorneys general" by the Supreme Court. See e.g. *Hawaii v. Standard Oil Co.*, 405 U.S. 251, 92 S.Ct. 885, 31 L.Ed.2d 184 (1972). The federal courts have concluded that antitrust enforcement actions are more likely to be initiated and prosecuted by those who have sustained the most damage rather than by indirect purchasers such as plaintiffs whose individual damage, even trebled, is quite small compared to the damages sustained by direct purchasers.

The court observes that such a proposition is clearly applicable to a case such as this which involves price fixing at the manufacturing level of infant formula distributed over a wide distribution chain and ultimately purchased by plaintiffs at retail outlets. The court also notes that the direct purchasers have already instituted actions against these defendants under federal law and that settlements have been reached with all direct purchasers who do business in the state of Louisiana. Such actions were concluded prior to initiation of this action.

The Supreme Court first directly considered the issue in *Hanover Shoe, Inc. v. United Shoe Machinery Corp.*, 392

U.S. 481, 88 S.Ct. 2224, 20 L.Ed.2d 1231 (1968). There, the Court had before it an antitrust action brought by a shoe manufacturer against a manufacturer of shoe making equipment. The Court declined to allow the defendant manufacturer to plead that the plaintiff suffered no injury, assuming that defendant did illegally raise prices, because plaintiff was able to pass on the claimed illegal overcharges to those who bought shoes from it. The Court held that under § 4 of the Clayton Act "when a buyer shows that the price paid by him for materials purchased for use in his business is illegally high and also shows the amount of the overcharge, he has made out a prima facie case of injury and damage within the meaning of § 4." 392 U.S. at 489, 88 S.Ct. at 2229.

The Court also discussed a number of concerns and rejected the notion that "sound laws of economics" require recognition of such a defense:

> We are not impressed with the argument that sound laws of economics require recognizing this defense. A wide range of factors influence a company's pricing policies. Normally the impact of a single change in the relevant conditions cannot be measured after the fact; indeed a businessman may be unable to state whether, had one fact been different (a single supply less expensive, general economic conditions more buoyant, or the labor market tighter, for example) he would have chosen a different price. Equally difficult to determine, in the real economic world rather than an economist's hypothetical model,

> is what effect a change in a company's price will have on its total sales. Finally, costs per unit for a different volume of total sales are hard to estimate. Even if it could be shown that the buyer raised his price in response to, and in the amount of, the overcharge and that his margin of profit and total sales had not thereafter declined, there would remain the nearly insuperable difficulty of demonstrating that the particular plaintiff could not or would not have raised his prices absent the overcharge or maintained the higher price had the overcharge been discontinued . . . Treble-damage actions would often require additional long and complicated proceedings involving massive evidence and complicated theories. 392 U.S. at 492, 88 S.Ct. at 2231.

The court judicially notices that infant formula, like shoes, is sold to consumers by a wide range of retailers who vigorously compete with each other on a daily basis, and many of them are national chain stores with substantial resources. Many of these retailers engage in extensive advertising campaigns, publicize price comparison with retail competitors, employ "loss leader" sales and other customer enticement activities. In short, a wide range of factors influence their prices on literally thousands of products on a daily basis.

Finally, the Court concluded that allowing such a defense would reduce, not encourage treble-damage actions:

> In addition, if buyers are subjected to the passing-on defense, those who buy from them

would also have to meet the challenge that they passed on the higher price to their customers. These ultimate consumers, in today's case the buyers of single pairs of shoes, would have only a tiny stake in a lawsuit and little interest in attempting a class action. In consequence, those who violate the antitrust laws by fixing or monopolizing would retain the fruits of their illegality because no one was available who would bring suit against them. Treble-damage actions, the importance of which the Court has many times emphasized, would be substantially reduced in effectiveness. 392 U.S. at 494, 88 S.Ct. at 2232.

The above quoted statement from *Hanover Shoe* seems especially applicable to the case before this court. Although plaintiffs have never established with any degree of certainty the individual damage sustained by any plaintiff in the purchase of infant formula (admittedly there has been no trial on the merits of the case) it is nevertheless quite clear that each plaintiff (and each member of a potential class) has only a "tiny stake" in this lawsuit.

In *Illinois Brick Co. v. Illinois,* 431 U.S. 720, 97 S.Ct. 2061, 52 L.Ed.2d 707 (1977) the Supreme Court reaffirmed the *Hanover Shoe* holding and extended it to prohibit recovery of antitrust damages in almost all cases by indirect purchasers, and commented:

> Permitting the use of pass-on theories under § 4 essentially would transform treble-damages actions into massive efforts to apportion the

> recovery among all potential plaintiffs that could have absorbed part of the overcharge — from direct purchasers to middlemen to ultimate customers. However, appealing this attempt to allocate the overcharge might seem in theory, it would add whole new dimensions of complexity to treble-damages suits and seriously undermine their effectiveness. 431 U.S., at 737, 97 S.Ct., at 2070.

Once again the Court addressed economic theories:

> Under an array of simplifying assumptions, economic theory provides a precise formula for calculating how the overcharge is distributed between the overcharged party (passer) and its customers (passees), If the market for the passer's product is perfectly competitive; if the overcharge is imposed equally on all of the passer's competitors; and if the passer maximizes its profits, then the ratio of the shares of the overcharge borne by passee and passer will equal the ratio of the elasticities of supply and demand in the market for the passer's product. Even if these assumptions are accepted, there remains a serious problem of measuring the relevant elasticities — the percentage change in the quantities of the passer's product demanded and supplied in response to a one percent change in price. . . .

* * * * * *

> More important, as the *Hanover Shoe* Court observed, 392 U.S., at 493, 88 S.Ct., at 2231, 'in the real economic world rather than an economist's hypothetical model,' the latter's drastic simplifications generally must be abandoned. Overcharged direct purchasers often sell in imperfectly competitive markets. They often compete with other sellers that have not been subject to the overcharge; and their pricing policies often cannot be explained solely by the convenient assumption of profit maximization. . . . 431 U.S., at 741-742, 97 S.Ct., at 2072-2073.

This court's earlier comment, regarding competition at the retail level among retailers of products like infant formulas, applies equally here. An economist's hypothetical model which fails to take into account those real world facts would be of little value and would surely confuse the jury.

Finally, the Court concluded:

> We think the longstanding policy of encouraging vigorous private enforcement of the antitrust laws, [citation omitted] supports our adherence to the *Hanover Shoe* rule, under which direct purchasers are not only spared the burden of litigating the intricacies of pass-on but also are permitted to recover the full amount of the overcharge. We recognize that direct purchasers sometimes may refrain from bringing a treble-damages suit for fear of disrupting relations with

> their suppliers. But on balance, and until there are clear directions from Congress to the contrary, we conclude that the legislative purpose in creating a group of 'private attorneys general' to enforce the antitrust laws [citation omitted] is better served by holding direct purchasers to be injured to the full extent of the overcharge paid by them than by attempting to apportion the overcharge among all that may have absorbed a part of it. 431 U.S., at 745, 97 S.Ct., at 2074.

In this court's view, the concerns expressed by the Supreme Court apply equally to the Louisiana statute and to this case. A few observations demonstrate why this is so.

First, there is no dispute that antitrust litigation is expensive and complex. Price fixing conspiracies are not ordinarily formulated out in public and they are frequently difficult and expensive to ferret out. To that may be added the cost of expensive expert witnesses whose testimony is always essential in the proof of damages. The notion that an ultimate consumer having purchased at retail and claiming only a "tiny stake" in the outcome would be encouraged to initiate expensive, complex, and time consuming litigation for small change, simply cannot be accepted.

Moreover, most retail purchasers have no access to information which might even indicate to them that there had been an illegal overcharge in the price of a product at the manufacturers level of the product. This very litigation demonstrates the correctness of such concerns.

Appendix D

It is undisputed, as noted above, that the direct purchasers of infant formula from these defendants have brought antitrust acti under federal law which have already been settled. The same set of lawyers who represented the direct purchasers in the federal action also represent these plaintiffs in this state law class action. While the court is not privy to all of the matters undertaken in the original action, it is certainly fair to conclude that but for the evidence obtained in the original federal action by the lawyers who now represent these plaintiffs, this action would never have been brought. It is highly unlikely that a consumer of such a product would ever obtain information which could lead him or her to suspect that a price fixing scheme at the top of the distribution chain has increased the retail price of the product by a few cents per unit at the supermarket.

In an antitrust price fixing case, plaintiff must first prove price fixing before reaching the question of damages. The court is confident that in this case the same evidence of conspiracy obtained in the federal antitrust cases against these defendants would be offered. Such evidence is available in this class action only because of the happenstance that counsel for plaintiffs represented the direct purchasers and now represents the class action plaintiffs — and thus has access to the information.

While class actions are valuable for the prosecution of some actions with many claimants, each having small damage, the device is not likely to be useful in antitrust consumer cases involving products such as infant formula. A consumer who discovers a defect in a mass marketed product may be able to establish the defect at little or no cost, and he will ordinarily discover the defect without expert

Appendix D

assistance. In those instances, the defect in the other products of the same type as bought by plaintiff may be proved at moderate cost, i.e., if one manufacturer produced and distributed thousands of defective units, it is efficient and economic to prosecute a class action on behalf of representative plaintiffs and all others who bought the product. Individual damage will also be relatively simple and inexpensive to prove.

Not so with price fixing schemes involving products such as infant formula. A consumer buying at retail will know the retail price he pays for the product but in the absence of a situation like the present case would not even have a suspicion, much less actual evidence, that the retail price he paid has been increased by an illegal scheme among the manufacturers. In other words, it seems to this court that in the case of price fixing by manufacturers of mass-marketed products such as infant formula, the ultimate consumer is likely to be the last to know and is the least likely to have the resources to discover and prove such a scheme.

To illustrate the preceding statement, diligent search by this court has failed to produce a single other reported case in Louisiana alleging price fixing among manufacturers of consumer products such as infant formula. What is now La. R.S. 51:122 traces back to Act 86 of 1890, a period of over one hundred years.

It seems to this court that the federal construction of the damages issue is sound — those with the most to gain in a treble-damage action are not only most likely to bring the action but also are more likely to have access to the information regarding illegal price increases and the

resources to finance the litigation than those ultimate consumers who may have borne part of the pass-on price increase.

The federal concerns about economic theory also apply to this case. As counsel for the defendants have repeatedly pointed out during the course of this litigation, counsel for plaintiffs propose to use the same economic expert here as they used in the original federal litigation brought by the direct purchasers. There the expert testified that the direct purchasers sustained all the damage, i.e., no direct purchaser was able to pass-on a single cent of the overcharge. Now that the original litigation has been concluded, the expert has simply turned his economic theoretical model by 180 degrees and is now prepared to testify that direct purchasers passed on **all of the overcharges,** so that the ultimate consumers sustained all of the damage.

At least one learned comment has pointed out that if indirect purchasers are allowed to sue, then the passing on defense must be allowed to the antitrust violators; otherwise multiple treble-damage liability will be tolerated by the law. See **William M. Landes and Richard A. Posner,** ***Should Indirect Purchasers Have Standing to Sue Under the Antitrust Laws? An Economic Analysis of the Rule of Illinois Brick,*** 46 University of Chicago Law Review 602, at 603.

Under such a scenario, the antitrust victims could well find themselves at each others throats in court, proffering differing economic theories as to who passed on the overcharge to whom. The complexity and cost of such proceedings could be almost beyond comprehension,

depending upon the sophistication of the particular distribution chain (or chains) of the product (or products).

This court certainly recognizes that the Louisiana Legislature may adopt a law which grants a cause of action in favor of indirect purchasers of products and the Supreme Court has clearly stated that there is no federal impediment to so doing. *See Calif. v. ARC America Corp.,* 490 U.S. 93, 109 S.Ct. 1661, 104 L.Ed.2d 86 (1989).

The fact, however, that in 1981, following the decision in *Illinois Brick,* the Louisiana legislature declined to amend the Louisiana antitrust statute so as to specifically authorize such actions, is at least a straw in the wind indicating that Louisiana was satisfied with the result of *Illinois Brick.* See (H.B., 772 of 1981, introduced but not adopted by the 1981 Louisiana Legislature.)

This court, for the reasons outlined above, concludes that Louisiana would be on sound ground in following the lead of the Supreme Court in *Hanover Shoe* and *Illinois Brick* and holds that these indirect purchasers have suffered no antitrust damage under Louisiana's antitrust law, La. R.S. 51:137.

Dismissal Under Louisiana Civil Code Articles 2315 and 1953

Plaintiffs have also failed to state a claim under Louisiana Civil Code articles 2315 and 1953. First, a violation of article 2315 requires proof of "fault" on the part of defendants. The only "fault" that plaintiffs assert is defendants' alleged violation of La. R.S. 51:122. Because

the court finds that plaintiffs have failed to assert a claim under this statute, plaintiffs should not be able to bypass such a finding by asserting an action under article 2315.

Second, plaintiffs acknowledge that in order to state a cause of action under Louisiana Civil Code article 1953, a contractual relationship must be alleged.[8] As indirect purchasers, plaintiffs cannot assert the existence of any such obligation. Plaintiffs argue, however, that an action for fraud may also be alleged in tort under Article 2315 which would not require plaintiffs to establish such elements as privity, consideration, or breach of contract. Because the court has concluded that plaintiffs have failed to state a cause of action for liability for antitrust activity under Article 2315, the court holds the same for a cause of action for fraud.

The Other Argument of Defendants

The defendants also advance the argument that the Louisiana statute, La. R.S. 51:122, applies only to intrastate price fixing scheme and that the conspiracy as alleged by plaintiffs is clearly interstate, not intrastate. Hence, defendants argue, the Louisiana statute has no application to their alleged activities.

In view of the conclusion of the court as to the construction of section 137, the court does not express any view on this argument.

Accordingly, for the reasons set forth above, defendants' motion to dismiss for failure to state a claim is hereby GRANTED and this action will be dismissed.

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8. Plaintiffs' supplemental memorandum, p. 26.

APPENDIX E — JUDGMENT OF THE UNITED STATES DISTRICT COURT FOR THE MIDDLE DISTRICT OF LOUISIANA DATED AND FILED NOVEMBER 7, 1997

UNITED STATES DISTRICT COURT
MIDDLE DISTRICT OF LOUISIANA

CIVIL ACTION
NO. 93-971-A

ROBIN FREE AND RENEE FREE

VERSUS

ABBOTT LABORATORIES, BRISTOL-MEYERS SQUIBB COMPANY, MEAD JOHNSON & COMPANY

JUDGMENT

For the written reasons assigned and filed herein:

IT IS FURTHER ORDERED ADJUDGED AND DECREED that the motion to dismiss filed on behalf of defendants is hereby GRANTED, and this action is hereby DISMISSED.

Baton Rouge, Louisiana, November 7, 1997.

s/ John V. Parker
JOHN V. PARKER, CHIEF JUDGE
MIDDLE DISTRICT OF LOUISIANA

APPENDIX F — RULING OF THE UNITED STATES DISTRICT COURT FOR THE MIDDLE DISTRICT OF LOUISIANA ON MOTION FOR RECONSIDERATION DATED AND FILED APRIL 22, 1997

UNITED STATES DISTRICT COURT
MIDDLE DISTRICT OF LOUISIANA

CIVIL ACTION
NO. 93-971-A

ROBIN FREE AND RENEE FREE

VERSUS

ABBOTT LABORATORIES, BRISTOL-MYERS SQUIBB COMPANY, MEAD JOHNSON & COMPANY
ROBIN FREE AND RENEE FREE

RULING ON MOTION FOR RECONSIDERATION

This matter is before the court on a motion by defendants, Abbott Laboratories ("Abbott") and Bristol-Myers Squibb Company and Mead Johnson & Company (together "Bristol"), for reconsideration of the court's January 21, 1997 ruling. The motion is strongly supported by plaintiffs. Removal jurisdiction is based upon 28 U.S.C. §1332. In a prior ruling, this court held that there is diversity of citizenship jurisdiction in this case which ruling was affirmed, although the court's attempt to remand the action to state court on the grounds of comity was reversed. See, 51 F.3d 524 (5th Cir. 1995).

Appendix F

Background

Plaintiffs filed this action in the Louisiana state court seeking damages for economic loss including treble damages, attorney fees, and legal interest for unreasonable restraint on trade in violation of state law. Plaintiffs purported to file this lawsuit on behalf of themselves and a class of consumers of infant formula who reside in the state of Louisiana and at any time during the period of January 1, 1980, through December 31, 1992, purchased one or more of the defendants' brand of infant formula in the state of Louisiana.

On February 23, 1996, defendants filed a motion to dismiss and a motion for summary judgment. Plaintiffs opposed the motion and the court granted leave for the parties to file reply briefs and supplemental briefs. Before the court ruled on the pending motions, plaintiffs and defendants filed a joint motion for preliminary approval of settlements between the parties. The court preliminarily approved the settlement of this litigation in two stages. The first partial settlement was with Abbott, which was preliminarily approved by this court on May 31, 1996. The second partial settlement was with Bristol-Myers and Mead Johnson, which was preliminarily approved by this court on September 6, 1996.

On October 10, 1996, plaintiffs moved for final approval of the settlements. No class having been certified at that time, the court tentatively certified a class for settlement purposes only and preliminarily approved the settlements. A fairness hearing was fixed for December 16, 1996, and notice was given in accordance with Rule 23(e), Fed.R.Civ.P. After

careful consideration of the matter, the court, on January 21, 1997, denied the motion by plaintiffs for final approval of settlements entered into with defendants. See **Free v. Abbott Laboratories,** 953 F.Supp. 751 (M.D. La. 1997). The court concluded that the proponents had failed to present sufficient evidence to demonstrate that the settlement secured an adequate advantage for the absentee class in return for the surrender of litigation rights against defendants and set forth its reasons in detail. **Id.** at p.p. 753-756.

Discussion

No objections were made at or before the fairness hearing. Nonetheless, the proponents of the settlement still bore the burden of proving and persuading the court that the settlement was fair, adequate and reasonable. Indeed, the proponents should have been extra cautious knowing that, because the class had been certified for settlement purposes only, the court was obligated to be especially careful in reviewing the settlements. **In re General Motors Corp. Pick-Up Truck Fuel Tank,** 55 F.3d 768, pp. 786-792 (3rd Cir. 1995).

Although the court has no evidence to suggest that this settlement was anything other than the product of arm's length negotiations between plaintiffs and defendants, the court could not assume that the settlement was prima facie fair; rather, the court had a duty to review the evidence presented to determine whether the settlement was fair to the absentee class. Upon review of the matter, the court realized that the proponents had failed to furnish significant evidence regarding many of the factors the court was to

consider. The fairness hearing itself provided the court with very few facts relevant to the fairness of the settlement.[1] Indeed, plaintiffs concede in their brief for reconsideration that "[p]laintiffs' attorneys now recognize that, as a result of the limited written submissions, received from one side only, a number of issues were only partly addressed or treated summarily."[2]

The court recognizes that the burden of persuasion of the fairness of a class action settlement does not require the proponents to stage a trial on the merits — the event which the settlement aims to preclude. The burden of proof and persuasion, however, did obligate the parties, the main source of information, to furnish adequate information. The court, unfortunately, was required to probe the record to access the most basic information. For instance, the proponents argued that the settlement was fair in light of the possible range of recovery to the plaintiffs and the class. The brief in support of the final approval of the settlement offered assumptions but no affidavits or other factual information to support the asserted loss that each class member would surrender in exchange for the settlement. Proponents only contended that the settlement was "unquestionably superior

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1. Plaintiffs did state that no objections had been filed as of that date, approximately four hundred thousand claims had been filed, that this settlement has been approved in every state where it has been presented and that each class member could expect to get about ten dollars as result of the settlement.

2. Plaintiffs' memorandum in support of defendants' motion for reconsideration of settlements on the basis of additional submissions, p. 3.

to another possibility: that no recovery would be obtained after years of further litigation." As the court noted, this possibility is always present in litigation and is not helpful to the court. **Free,** 953 F.Supp. at 753. Lacking hard information, the court referred to the original state court petition and the memorandum on behalf of plaintiffs filed on December 13, 1993, in support of their motion to remand. There plaintiffs argued that "the evidence will establish that a parent purchasing infant formula has been defrauded out of about $835.35 per year per infant." The court reasoned that because counsel at that time was attempting to establish that the claims were all well below the then $50,000 federal jurisdictional amount, it would assume that the sum of $835.35 per year per child was the absolute minimum amount that a jury would be asked to award. The court, therefore, used this figure in evaluating the range of recovery.

Counsel now state in their brief for reconsideration that the $835.35 figure is incorrect. Counsel state:

> Since the settlement proponents had not provided any more recent or more refined damages data, the Court relied on those figures [$835.35] in the January 21st Ruling. Plaintiffs' preliminary estimate was made before they had the benefit of the extensive work and damages analyses of their economic experts. Defendants have noted that, nearly two years later, when plaintiffs' expert testified at the trial of the Kansas case, the estimated overcharge per infant was about $130.[3]

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3. Plaintiffs' memorandum in support of defendants' motion for reconsideration of settlements on the basis of additional submissions, p. 5.

However, to now submit this information, along with a two inch plus thick binder of exhibits, on a motion for reconsideration is inappropriate.

A motion for reconsideration in the district court can be likened to a motion for new trial or, at the appellate level, a motion for rehearing. It is assumed that everything necessary to resolve all issues will be presented to the court at the scheduled hearing.

Reconsideration is appropriate only if the district court (1) is presented with newly discovered evidence, (2) committed clear error or the initial decision was manifestly unjust, or (3) if there is an intervening change in controlling law. **Multnomah County, Oregon v. AcandS, Inc.,** 5 F.3d 1256, 1262 (9th Cir. 1993). Certainly, this newly **submitted** evidence is not newly ***discovered*** evidence. The court has reviewed the documents now offered in support of approval and determines that all of them were available to the parties well before the hearing on the issue of fairness to the absent class members. As the Ninth Circuit noted in **Multnomah County,** the overwhelming weight of authority is that the failure to file documents in an original motion or opposition does not turn the late filed documents into "newly discovered evidence." *See also* **Waltman v. International Paper Co.,** 875 F. 2d 468 (5th Cir. 1989) (finding that because all of the material attached to plaintiffs motion for reconsideration was available to plaintiff at the time she filed her motion in opposition to defendants summary judgment motion and because she did not give any explanation why she did not include the materials with her motion in

opposition, the material attached was untimely); **Harsco Corp. v. Zlotnicki,** 779 F. 2d 906,909 (3rd Cir. 1985) (stating that where evidence is not newly discovered, a party may not submit that evidence in support of a motion for reconsideration).

Neither plaintiffs nor defendants argue in the motion for reconsideration that any of these grounds are present, particularly that this was newly discovered evidence justifying reconsideration of the court's ruling; rather, the evidence purportedly clarifies the arguments and positions already presented to this court. Because these exhibits could have been adduced at the fairness hearing and because the proponents failed to take the proper steps to insure consideration of the evidence, the court declines to allow proponents to slip it into the record through a motion for reconsideration. Courts, especially this court, lack the time and resources to reconsider rulings because the parties failed to present their most solid and convincing evidence at the scheduled hearing. See, **Comeau v. Rupp,** 762 F.Supp. 1434, 1451 (D. Kan. 1991), **United States ex rel. Houck v. Folding Carton Admin. Comm.,** 121 FRD 69, 71 (N.D. Ill. 1988)(stating that an improper use of the motion to reconsider "can waste judicial resources and obstruct the efficient administration of justice).

Defendants' motion for reconsideration is hereby DENIED. The court will proceed on the defendants' pending motions for dismissal and summary judgement. All parties are hereby granted leave to submit additional affidavits, evidence and briefs on those motions within thirty (30) days

of the date of this ruling, after which the motions will be considered submitted.

Baton Rouge, Louisiana, April 22, 1997.

s/ John V. Parker
JOHN V. PARKER, CHIEF JUDGE
MIDDLE DISTRICT OF LOUISIANA

APPENDIX G — RULING OF THE UNITED STATES DISTRICT COURT FOR THE MIDDLE DISTRICT OF LOUISIANA ON MOTION FOR FINAL APPROVAL OF SETTLEMENTS AND ATTORNEY FEES DATED JANUARY 21, 1997

Robin FREE and Renee Free

v.

ABBOTT LABORATORIES, Bristol-Myers Squibb Company, Mead Johnson & Company.

Civil Action No. 93-971-A.

United States District Court,
M.D. Louisiana.

Jan. 21, 1997.

* * *

RULING ON MOTION FOR FINAL APPROVAL OF SETTLEMENTS AND ATTORNEY FEES

JOHN V. PARKER, Chief Judge.

This matter is before the court on a motion by plaintiffs for final approval of settlements entered into with defendants, Abbott Laboratories ("Abbott") and Bristol-Myers Squibb Company and Mead Johnson & Company (together

"Bristol"). Also pending before the court is a joint application of plaintiffs' counsel for an award of attorneys' fees and reimbursement of expenses. Neither motion is opposed. Removal jurisdiction is allegedly based upon 28 U.S.C. § 1332 and in a prior ruling the court has held that there is diversity of citizenship jurisdiction in this case.

Motion for Final Approval of Settlement

Background

On October 14, 1993, plaintiffs filed this action seeking damages for economic loss including treble damages, attorney fees, and legal interest. The plaintiffs allege that defendants entered a conspiracy to fix prices in violation of Louisiana's antitrust law, La.R.S. 51:122 et seq. Specifically plaintiffs allege, "an understanding and concert of action among defendants, the substantial terms of which were to raise, fix, maintain and stabilize at artificially high levels the wholesale price of infant formula sold in the United States, including the state of Louisiana." The plaintiffs purportedly filed this lawsuit on behalf of themselves and a class of consumers who purchased one or more of the defendants' brands of infant formula in the state of Louisiana at any time during the period of January 1, 1980 through December 31, 1992.

Plaintiffs have now entered settlement agreements with both defendants. The settlements provide that Abbott and Bristol will pay $2,350,000 and $2,000,000 respectively, with accruing interest, to settle the claims asserted against

each.[1] The settlements, if approved, would conclude this litigation.

No class having been certified when the motion was filed, this court tentatively certified a class for settlement purposes only, and preliminarily approved the two settlements. Notices of the settlements were published in newspapers throughout Louisiana as required by Rule 23(e), Fed.R.Civ.P.[2] The notice required class members to submit any objection they might have to the settlement administrator regarding the amount of the settlements, attorneys' fees, expenses, or plaintiffs' awards on or before December 2, 1996. The court has been informed that the administrator did not receive any objections by mail and that no persons have requested to opt out of the class.

On Monday, December 16, 1996, on a motion by plaintiffs, this court held a fairness hearing concerning final approval of the settlement agreements. Although the notices required prehearing written objections, the court announced that any person in the courtroom would be allowed to comment. No objections or comments were made by any member of the public in the courtroom.

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1. The settlement amount paid by Abbott has been earning interest since January 25, 1996 and the settlement amount paid by Bristol has been earning interest since June 7, 1996.

2. Rule 23(e) provides, "A class action shall not be dismissed or compromised without the approval of the court, and notice of the proposed dismissal or compromise shall be given to all members of the class in such manner as the court directs."

Law

A class action shall not be dismissed or compromised without the approval of the court, and notice of the proposed dismissal or compromise shall be given to all members of the class in such manner as the court directs. Fed.R.Civ.P. 23(e). A class action settlement should be approved only when it is "fair, adequate, and reasonable." *In re Corrugated Container Antitrust Litigation,* 643 F.2d 195, 207 (5th Cir.1981). In making this determination, a district court should consider the following factors: the possible range of recovery and the certainty of damages; the factual and legal obstacles to prevailing on the merits; the stage of proceedings and the amount of discovery completed; the objections and opinions of absent class members as well as the opinions of class counsel and class representatives; whether the settlement was the product of collusion or fraud; and the complexity, expense, and likely duration of the litigation. *Reed v. General Motors Corp.,* 703 F.2d 170, 172 (5th Cir.1983).

Discussion

To protect the interests of the absentee class, this court has a duty to make an independent assessment of the fairness of the settlement. The court executes this duty by assuring that the settlement secures an adequate advantage for the class in return for the surrender of litigation rights against the defendants. *See* 2 NewBerg & Conte § 11.46, at 11-105, 11-106. As the Third Circuit has recently pointed out, a district court must be especially careful in reviewing settlements which are presented through the use of a

settlement class. *In re General Motors Corp. Pick-Up Truck Fuel Tank,* 55 F.3d 768, pp. 786-792 (3rd Cir.1995).

To enable the court to reasonably assess the fairness of the settlement, the proponents[3] are obligated to furnish adequate information; counsel for the parties are the main source of information concerning the settlement. It is the proponents' burden to explain how the settlement was reached and to prove that it is fair, adequate, and reasonable. *Id.*

1) The Possible Range of Recovery and the Certainty of Damages

Proponents failed to furnish significant information about the estimate of the possible range of recovery which class members will surrender in exchange for the settlement. Proponents contend only that the settlement is "unquestionably superior to another possibility: that no recovery would be obtained after years of further litigation." Certainly, this possibility is always present in litigation and is indeed not helpful to the court in evaluating the possible range of recovery.

The original state court petition alleges that the value of any claim does not exceed $20,000, but does not reveal the basis for the estimate. The only other information furnished

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3. Both the plaintiffs and the settling defendants have come to a proposed compromise of the controversy, and both are interested in obtaining court approval. Both the plaintiffs and the settling defendants are the proponents of the settlement. Newberg and Conte § 11.42 at 11-95.

to the court regarding extent of damages is contained in a memorandum on behalf of plaintiffs filed December 13, 1993 in support of their motion to remand. In arguing that the claim of plaintiffs and the purported members of the class fall well below federal jurisdictional amount, counsel declares: "[t]he evidence will establish that a parent purchasing infant formula has been defrauded out of about $835.35 per year per infant." Brief of plaintiffs, p. 17.

The brief offers assumptions but no affidavits or other factual information to support the asserted loss figure. Since counsel at that time was attempting to establish that the claims were all well below the then $50,000 federal jurisdictional amount, the court must assume that the sum of $835.85 per year per child is the absolute minimum amount that a jury would be asked to award. Taking counsel at their word, the court concludes that each member of this absentee class will be required to surrender a claim worth at least $2507.55 (antitrust damages are trebled) per child per year under the terms of the settlement now proposed to the court.

Under the terms of the proposed settlement agreement, counsel for plaintiffs would be paid one-third of the fund of $4,350,000, about one and one-half million dollars, plus litigation expenses (now totaling about $33,000). Each named plaintiff (class representative) would be awarded $1500. The balance of the fund, less notice costs and settlement expenses, would be distributed to the members of the class. According to counsel for plaintiffs, more than four hundred thousand claims had been filed as of the date of the fairness hearing. It does not take a mathematical wizard

to see that each individual $2500 claim will be surrendered for a payment of no more than four, five, or six dollars.

2) The Factual and Legal Obstacles to Prevailing on the Merits[4]

The court is aware of some of the issues faced by plaintiffs (and the members of the class) in prosecution of this action. They are raised by the pending motions filed by defendants.

One very important issue is whether the plaintiffs and class members indeed have standing to assert an antitrust claim under La.R.S. 51:122 *et seq.* This issue has not been addressed by a Louisiana court. Federal antitrust law is the model for Louisiana's law and Louisiana courts frequently follow federal precedent in this area. Since it is clear that indirect purchasers do not have standing under federal antitrust law, *Illinois Brick Co. v. Illinois,* 431 U.S. 720, 97 S.Ct. 2061, 52 L.Ed.2d 707 (1977), this issue is quite serious. In addition to the standing problem, defendants raise other significant arguments regarding plaintiffs' ability to recover under Louisiana law. These arguments include plaintiffs' ability to demonstrate that the Louisiana antitrust statute is intended to cover interstate conspiracies and is not restricted to intrastate conspiracies since the conspiracy here, if there was one, was interstate. Again, this is an issue that has not been addressed by a Louisiana court.

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4. The court observes that all of these problems with the claims of plaintiffs were, or should have been, well known to experienced counsel before the action was commenced.

The court also recognizes the existence of evidentiary problems. One such evidentiary problem is whether the plaintiffs can prove that, as indirect purchasers, they sustained injuries, as opposed to the retailers who were direct purchasers from defendants. Defendants have submitted evidence in support of their pending motions that the expert upon whom plaintiffs most heavily rely for damages has already testified, in prior unrelated litigation brought by retailers, that the retailers absorbed the entire cost and no consumer was damaged.

The court essentially has no information regarding any weakness which might be found on the defense side, although there must be some, since the defendants have put up the sums of $2,350,000 and $2,000,000 respectively, not insignificant amounts, to buy their peace.

Although a cash settlement amounting to only a fraction of the potential recovery does not in itself render a settlement unfair or inadequate, the court finds that the members of this class would literally be no worse off if their case were tried to an adverse verdict. Plaintiffs may face serious and significant barriers to recovery in this case, but the members of the class (as opposed to class counsel, representative plaintiffs and defendants) have little to lose and everything to gain by pressing on to trial regardless of the alleged complexity and expense of continued litigation.

3) The Stage of Proceedings and the Amount of Discovery Completed

Another factor to consider is the stage of proceedings and the amount of discovery completed. Though the court

need not possess evidence to decide the merits of the issue, a court should be satisfied that class counsel had sufficient information to adequately assess the strength of the plaintiffs' claims. *In re Ford Motor Co. Bronco II Products Liability Litigation,* 1995 WL 222177, (E.D.La. April 12, 1995) (No. Civ. A. MDL-991).

This action is one of seventeen similar suits filed against the same defendants in different states. According to counsel for plaintiffs, the applicant law firms have worked as a team of national counsel in each of the related actions. Although the action has been pending here for about three years and some issues have been litigated and appealed, all such prior rulings related solely to the issue of subject matter jurisdiction. *See In re Abbott Laboratories,* 51 F.3d 524 (5th Cir.1995). The court has not yet addressed any issues related to the merits of the litigation, although, as noted above, there are now pending motions by the defendants to dismiss or alternatively for summary judgment which relate to the construction of Louisiana's antitrust statute.

Counsel have informed the court that extensive discovery[5] has taken place in all seventeen cases and that the action in Kansas was tried to verdict, which was in favor of defendants. The court has not been informed as to the details of the Kansas verdict, such as whether the jury factually found no conspiracy or whether the result was dictated by some peculiar feature of Kansas law.

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5. In brief, counsel furnished the names of 26 people whose depositions have been taken but no information as to what they said has been submitted to the court.

In short, although sufficient discovery may have been conducted, the court has little information relating to the factual bases of the claims made by either side.

4) The Absence of Opposition

Plaintiffs' counsel argue that the fact that no objections have been received from any of the "many thousands of class members firmly supports final approval of the settlements." The lack of objection may not indicate general approval among members of the absentee class. As one court has stated:

> [a] low level of vociferous objection is not necessarily synonymous with jubilant support. In many class actions, the vast majority of class members lack the resources either to object to the settlement or to opt out of the class and litigate their individual cases. *In re Corrugated Container Antitrust Litigation,* 643 F.2d 195, 217-18 (5th Cir.1981).

That situation exists with the class members in this litigation. This settlement class is composed of parents who have children now between the ages of four and sixteen. It is reasonable to assume that few of them possess sufficient time, knowledge, and resources to follow the procedures set forth in the notices for objecting or opting out of the class.

Moreover, as counsel acknowledged at the fairness hearing, the wording of the notices caused some confusion among class members. The notices which were published in

Louisiana announce that an award of $1500 to each **named plaintiff** will be sought from the court. Counsel indicated that some members of the class have interpreted that to mean that each **member of the class** will receive the sum of $1500, rather than the four or five dollars each class member is likely to receive. This confusion among class members is of significant concern to the court. Those class members who think they are going to receive a $1500 windfall are unlikely to raise many objections.

5) Whether the Settlement was the Product of Collusion or Fraud

A court must insure that the settlement was the result of arm's length negotiations and not the result of fraud or collusion. Though no evidence exists that this was anything other than an arm's length transaction, we must still recognize one of the dangers inherent in class action settlements — "that class counsel 'is potentially an unreliable agent of his principals' and may try to 'sell out' the class in exchange for substantial attorneys' fees." *In re Ford Motor Co.*, 1995 WL 222177 at 6 citing *Mars Steel Corporation v. Continental Illinois National Bank and Trust Company of Chicago*, 834 F.2d 677, 681 (7th Cir.1987).

In discussing the possibility of collusion in class actions, the court in *Bowling v. Pfizer, Inc.* 143 F.R.D. 141, 152 (S.D.Ohio 1992) recognized that "[a] defendant has an interest in minimizing its liability; class counsel has an interest in his attorney's fees." Stated another way, the possibility exists, particularly in settlement class action proposals, that "substantial rights of the class may be

bargained away in exchange for relief which inures primarily to the named plaintiffs or to class counsel." *Holden v. Burlington Northern, Inc.*, 665 F.Supp. 1398, 1406 (D.Minn.1987) citing *Armstrong v. Board of School Directors of the City of Milwaukee et al.*, 616 F.2d 305, 313 (7th Cir.1980).

Such a concern is present in this case. Counsel for plaintiffs argue in their motion for attorneys' fees that the settlement represents 7.7% of the gross amount which plaintiffs' experts estimated as damages for purchases in Louisiana and argue that in light of the significant legal problems[6] faced by the plaintiffs the "settlements constitute an excellent result." On the basis of the record before it, the court disagrees. The court does not find that plaintiffs' counsel has tried to "sell out" the class in exchange for substantial attorney's fees, and the court does find that the proposed settlement is fair, adequate and reasonable to the class representatives, to class counsel, and to the defendants. The record does not establish that it is fair, adequate and reasonable to the members of the absentee class.

Accordingly, after careful consideration, the court finds that the proponents have failed to present sufficient information to allay the concerns of the court. The motion for final approval of the settlement is hereby DENIED. Because the settlement is not approved, the court does not reach counsel's motion for attorneys' fees and reimbursement of expenses.

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6. The court again notes that these problems were all known before suit was filed.

APPENDIX H — ORDER OF THE UNITED STATES DISTRICT COURT FOR THE MIDDLE DISTRICT OF LOUISIANA PRELIMINARILY APPROVING PARTIAL SETTLEMENT, SETTING HEARING, AND DIRECTING NOTICE TO THE CLASS DATED AND FILED MAY 31, 1996

UNITED STATES DISTRICT COURT
MIDDLE DISTRICT OF LOUISIANA

Civil Action No. 93-971-A-M1

JUDGE PARKER
MAGISTRATE JUDGE RIEDLINGER

ROBIN FREE AND RENEE FREE,

Plaintiffs,

vs.

ABBOTT LABORATORIES, BRISTOL-MYERS SQUIBB COMPANY, and MEAD JOHNSON & COMPANY,

Defendants.

ORDER PRELIMINARILY APPROVING PARTIAL SETTLEMENT, SETTING HEARING, AND DIRECTING NOTICE TO THE CLASS

WHEREAS, an action is pending before the Court entitled *Free v. Abbott Laboratories, et al.*, Case No. 93-971-A-MI (the "Litigation"); and

WHEREAS, Plaintiffs and Defendant Abbott Laboratories ("Abbott"), having made application for an order approving the partial settlement of this Litigation in accordance with a Settlement Agreement dated March 26, 1996 (the "Settlement Agreement" or "the "Agreement"), which, together with the exhibits annexed thereto, sets forth the terms and conditions for a proposed partial settlement of the Litigation and for dismissal of the Litigation as to Abbott Laboratories with prejudice upon the terms and conditions set forth therein; and the Court having read and considered the Agreement and the exhibits annexed thereto; and

WHEREAS, the Court is satisfied that this Settlement has been negotiated at arm's-length and in good faith; and

WHEREAS, all capitalized terms contained herein shall have the same meanings as set forth in the Agreement.

IT IS HEREBY ORDERED:

1. For purposes of this Settlement, the Court hereby certifies a Settlement Class which shall consist of all persons who purchased one or more brands of Defendants' Infant Formula Products, except for infant formula sold under the Gerber brand name, from a retail store in Louisiana during the period from January 1, 1980 through and including December 31, 1992, with the Plaintiffs herein to serve as representatives of the Settlement Class and their counsel to serve as counsel to the Settlement Class ("Plaintiffs' Counsel"). The Settlement Class is being certified for the benefit of and with the consent of the parties to the settlement and is without prejudice to any further determination as to

whether a class can or should be certified with regard to any claims made against Bristol-Myers Squibb Company and Mead Johnson & Company.

2. A hearing will be held in the Courtroom of the undersigned at the United States Courthouse, 777 Florida Street, Baton Rouge, Louisiana, on a date to be subsequently scheduled, for the purposes of determining whether the proposed Settlement, on the terms and conditions set forth in the Settlement Agreement attached hereto as Exhibit 1, is fair, reasonable and adequate, and should be approved by the Court; whether the claims against Abbott should be dismissed on the merits, with prejudice and without costs to any party, and to consider the application of Plaintiffs' Counsel for an award of fees and expenses. This hearing may be continued from time to time without further notice.

3. The Court does hereby preliminarily approve the settlement as being fair, reasonable and adequate.

4. Plaintiffs' Counsel are hereby authorized to retain Rust Consulting, Inc. to supervise and administer the notice procedure. Plaintiffs' Counsel are authorized to withdraw up to $3,000 from the Settlement Fund to pay the expenses thus incurred. Plaintiffs' Counsel may withdraw such other amounts as may become necessary, subject to Court approval.

5. No later than July 14, 1996, the form of notice substantially in the form attached hereto as Exhibit 2, shall be published in the newspapers listed in the attachment thereto. No later than three weeks after the foregoing publication, a summary form of notice substantially in the

form attached hereto as Exhibit 3 shall be published in *USA Today*. Proof of publication of such notice shall be filed by Plaintiffs' Counsel at, or prior to, the final hearing. The aforesaid notice is hereby authorized and approved. Plaintiffs' Counsel are hereby authorized to withdraw up to $18,000 from the Settlement Fund to pay for such notice, and the disbursement of funds and payments required to do so are hereby approved. Plaintiffs' Counsel may withdraw such other amounts as may become necessary, subject to Court approval.

6. All persons who do not timely and properly request exclusion from the Settlement Class shall be bound by all determinations and judgments in the litigation concerning the settlement, whether favorable or unfavorable to the Settlement Class.

7. Any person may request exclusion from the Settlement Class by sending a request in writing by first class mail, postage prepaid, postmarked on or before the date 45 days after the national publication of the summary notice, to:

Settlement Administrator
Infant Formula Litigation
P.O. Box 1602
Minneapolis, MN 55440-1602

and referring, both in the Request for Exclusion and on the envelope, to the name and number of the Litigation. *Free v. Abbott Laboratories, et al.*, Case No. 93-971. Such request shall state the name and address of the person requesting

exclusion from the Settlement Class and that such person elects to be excluded from the Settlement Class and from any judgment entered pursuant to this Settlement. Any person who chooses to be excluded from the Settlement Class will not be bound by any judgment entered in connection with this Settlement. Persons who do not elect to be excluded from the Settlement Class in this manner will be bound by the terms of this Settlement, if they are finally approved by the Court, and by any orders and judgment entered in connection therewith.

8. Any person who does not elect to be excluded from the Settlement Class may, but need not, enter an appearance through that Settlement Class member's own attorney. Settlement Class Members who do not enter an appearance through their own attorneys will be represented by the Plaintiffs as class representatives and their counsel, whose fees and expenses will be paid out of the Settlement Fund, pursuant to Court approval.

9. In the event the Settlement is finally approved, any distribution to Settlement Class Members will be deferred pending resolution of the remainder of the Litigation. Plaintiffs' Counsel will then be required to submit a proposed plan of distribution, including a procedure for the submission of claims by Settlement Class Members, for consideration by and subject to the approval of the Court.

10. Pending final determination of whether the Settlement should be approved, neither the Plaintiffs nor any Settlement Class Member, either directly, representatively, or in any other capacity, shall commence or prosecute against

Abbott, any action or proceeding in any court or tribunal asserting any of the Released Claims.

11. Any Settlement Class member may appear at the hearing and show cause why the Settlement should not be approved as fair, reasonable and adequate; why attorneys' fees and costs should not be awarded to Plaintiffs' Counsel in the amount requested; or why this Action should not be dismissed with prejudice as to Abbott. In order for a Settlement Class Member to have any objections considered at the hearing, that Settlement Class Member must file a statement setting forth each ground for objection and attaching any supporting papers such Settlement Class Member wishes the Court to consider. This statement must be addressed to:

Settlement Administrator
Infant Formula Litigation
P.O. Box 1602
Minneapolis, MN 55440-1602

referring on the envelope to *Free v. Abbott Laboratories, et al.*, Case No. 93-971, and must be delivered, or, if mailed, postmarked not later than the date 45 days after the national publication of the summary notice. Any objections must also be served on counsel for Abbott:

Leslie M. Smith, Esq.
Kirkland & Ellis
200 East Randolph Drive
Chicago, IL 60601

Appendix H

Plaintiffs' Counsel shall collect and organize all objections and comments received by the Settlement Administrator for submission to and filing with the Court prior to the Hearing. The filing of an objection shall not extend the time within which a Settlement Class Member may file a Request for Exclusion from this Settlement. Any Settlement Class Member who does not make his or her objection in the manner provided shall be deemed to have waived such objection and shall forever be foreclosed from making any objection to the fairness, reasonableness or adequacy of the proposed Settlement as incorporated in the Settlement Agreement and shall forever be foreclosed from seeking review of the State Settlement by appeal or otherwise unless otherwise ordered by the Court.

12. It shall be the responsibility of Plaintiffs' Counsel to provide counsel for Abbott with a final list including the names of all individuals who have timely requested exclusion from the Settlement Class. In the event that more than 2,000 persons submit timely and valid Requests for Exclusion from the Settlement Class, Abbott shall have the right within 15 days after Plaintiffs' Counsel has notified counsel for Abbott of the names of each individual electing to opt out of the Settlement Class, to withdraw from this Settlement, in which event the case will proceed as to Abbott. Abbott's right shall be exercised, if at all, within such 15-day period by service of written notice of the election to withdraw from the Settlement and terminate the Settlement Agreement, on Plaintiffs' Counsel by certified mail and by filing a copy of such notice with the Court. In the event Abbott exercises its right to withdraw from the Settlement and terminate the Settlement Agreement: (a) the Settlement Agreement shall

Appendix H

be null and void and shall have no further force and effect and shall be without prejudice to the rights and contentions as between Abbott and Plaintiffs and Settlement Class Members in this action; (b) the Settlement Fund, along with any interest thereon or proceeds therefrom, less any disbursements from the Settlement Fund with Court approval made before Abbott's withdrawal, promptly shall be refunded to Abbott; and (c) the Settlement Class shall be decertified.

13. No person who is not a Plaintiff or Settlement Class Member or Counsel to the Plaintiffs shall have any right to any portion of or in the distribution of, the Settlement Fund unless otherwise ordered by the Court or otherwise provided in the Agreement.

14. All papers in support of the Settlement and any application by Plaintiffs' Counsel for an award of attorneys' fees and expenses shall be filed at least seven (7) days prior to the Hearing.

15. All reasonable costs incurred in notifying Class Members, as well as administering the Settlement Fund, shall be paid as set forth in the Settlement Agreement.

16. The Court reserves the right to adjourn the date of the Hearing and any adjournment thereof without further notice to the Settlement Class, and retains jurisdiction to consider all further applications arising out of or connected with the proposed settlement.

Dated: MAY 31, 1996.

s/ John V. Parker
John V. Parker
United States District Judge

APPENDIX I — OPINION OF THE UNITED STATES COURT OF APPEALS FOR THE FIFTH CIRCUIT DATED SEPTEMBER 21, 1995

In re ABBOTT LABORATORIES, Bristol-Meyers Squibb Company, Inc., and Mead Johnson & Company, Petitioners.

Robin FREE and Renee Free,
Plaintiffs-Appellees,

v.

ABBOTT LABORATORIES, Bristol-Meyers Squibb Company, Inc., and Mead Johnson & Company,
Defendants-Appellants.

Nos. 94-30279, 94-30280.

United States Court of Appeals,
Fifth Circuit.

Sept. 1, 1995.

* * *

ON SUGGESTIONS FOR REHEARING EN BANC

(Opinion 4/24/95, 5 Cir., 51 F.3d 524)

Before HIGGINBOTHAM, SMITH and PARKER, Circuit Judges.

Appendix I

PER CURIAM:

Treating the Suggestions for Rehearing En Banc as Petitions for Panel Rehearing, the Petitions for Panel Rehearing are DENIED. No member of the panel nor Judge in regular active service of the Court having requested that the Court be polled on rehearing en banc (FRAP and Local Rule 35), the Suggestions for Rehearing En Banc are DENIED.

We express no opinion regarding class certification or the exercise by the district court of discretion under 28 U.S.C. § 1367 to decline supplemental jurisdiction should a more well developed record warrant its doing so. We decline to further explore now on this record the complexities of declining to exercise jurisdiction under § 1367.

APPENDIX J — OPINION OF THE UNITED STATES COURT OF APPEALS FOR THE FIFTH CIRCUIT DATED APRIL 24, 1995

In re ABBOTT LABORATORIES, Bristol-Meyers Squibb Company, Inc. and Mead Johnson & Company, Petitioners.

Robin FREE and Renee Free,
Plaintiffs-Appellees,

v.

ABBOTT LABORATORIES, Bristol-Meyers Squibb Company, Inc. and Mead Johnson & Company,
Defendants-Appellants.

Nos. 94-30279, 94-30280.

United States Court of Appeals,
Fifth Circuit.

April 24, 1995.

* * *

Before HIGGINBOTHAM, SMITH and PARKER, Circuit Judges.

PATRICK E. HIGGINBOTHAM, Circuit Judge:

This class action brought under the antitrust laws of the State of Louisiana requires that we decide whether the Judicial Improvements Act of 1990 overrules *Zahn v.*

International Paper Co., 414 U.S. 291, 94 S.Ct. 505, 38 L.Ed.2d 511 (1973). We hold today that it does. We agree with the district court that the claims of the class representatives met the requisite amount in controversy and that it had diversity jurisdiction over their claims, but disagree with its decision to abstain from exercising it. We agree with the district court that it had supplemental jurisdiction over all other members of the class, but disagree with its decision not to exercise it. We vacate the order remanding to state court.

I.

Robin and Renee Free filed suit in a Louisiana state court on October 14, 1993, alleging that Abbott Laboratories, Bristol-Meyers Squibb Company, Inc., and Mead Johnson & Company had conspired to fix infant formula prices. The Frees filed for themselves and for a class[1] of Louisiana consumers. Defendants removed to federal court, and plaintiffs moved to remand.

The federal district court granted the motion to remand. The court held that it lacked federal question jurisdiction and that it had diversity jurisdiction only over the named plaintiffs' claims and not over claims of the other members of the class. The district court declined to exercise supplemental jurisdiction because the claims raised "novel issues of state law."

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1. The district court has not certified a class. Our examination of jurisdiction reflects the allegation of the plaintiffs and their invocation of jurisdiction — a putative class.

The district court remanded the named plaintiffs' claims on "the basis of . . . the *Colorado River/Moses H. Cone* doctrine of abstention."[2] It did so to avoid piecemeal litigation and to permit Louisiana to rule on the "novel and complex issues of state law." Defendants both appeal and petition for mandamus, asking that we vacate the order remanding to state court.

II.

28 U.S.C. § 1447(d) shields from review orders remanding for lack of subject matter jurisdiction, *see In re Shell Oil Co.*, 932 F.2d 1518, 1520 (5th Cir.1991), *cert. denied*, 502 U.S. 1049, 112 S.Ct. 914, 116 L.Ed.2d 814 (1992), or a defect in removal procedure noted by timely motion, *see In re Medscope Marine Ltd.*, 972 F.2d 107, 110 (5th Cir.1992). *See Thermtron Prods. Inc. v. Hermansdorfer*, 423 U.S. 336, 96 S.Ct. 584, 46 L.Ed.2d 542 (1976).

Fairly read, the remand order did not rest upon a lack of subject matter jurisdiction or defective removal procedure. The court noted no flaw in the removal procedure, and its decision to abstain follows an explicit finding of subject matter jurisdiction. Our appellate jurisdiction follows. *See In re International Paper Co.*, 961 F.2d 558, 561 (5th Cir.) (authorizing review by appeal, not mandamus, where remand is based upon "circumstances that give the court discretion

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2. *Colorado River Water Conservation Dist. v. United States*, 424 U.S. 800, 96 S.Ct. 1236, 47 L.Ed.2d 483 (1976); *Moses H. Cone Memorial Hosp. v. Mercury Constr. Corp.*, 460 U.S. 1, 103 S.Ct. 927, 74 L.Ed.2d 765 (1983).

to dismiss the case"), *cert. denied*, __ U.S. __, 113 S.Ct. 326, 121 L.Ed.2d 245 (1992); *McDermott Int'l v. Lloyds Underwriters of London*, 944 F.2d 1199, 1203-04 (5th Cir.1991) (regarding remand based upon *Colorado River* as discretionary and thus reviewable by appeal, not mandamus).

III. DIVERSITY AND SUPPLEMENTAL JURISDICTION

A. DIVERSITY JURISDICTION: THE NAMED PLAINTIFFS' CLAIMS

The court found it had diversity jurisdiction over the named plaintiffs' claims even though each named and unnamed plaintiff claimed only $20,000, less than the $50,000 minimum for diversity jurisdiction. 28 U.S.C. § 1332(a). The district court found that Louisiana law attributed all of a class's attorney's fees to the named plaintiffs. It held that the claim of the named plaintiffs for $20,000 — once swelled by attorney's fees — met the $50,000 amount-in-controversy requirement.

Plaintiffs argue that Louisiana statutes distribute the fees pro rata to all members of the class, with the result that none meets the amount-in-controversy requirement.

The distribution of attorney's fees centers on two Louisiana statutes. The first, Article 595 of the Louisiana Code of Civil Procedure, provides:

> The court may allow the representative parties their reasonable expenses of litigation, including

attorney's fees, when as a result of the class action a fund is made available, or a recovery or compromise is had which is beneficial, to the class.

. . . . .

Official Revision Comments

(a) It is intended, in the first paragraph, that the reasonable expenses of litigation allowed the successful representative parties is to be paid out of the fund or benefits made available by their efforts.

The second key Louisiana statute is Section 51:137 of the Louisiana Revised Statutes, which provides:

> Any person who is injured in his business or property by any person by reason of any act or thing forbidden by this Part may sue in any court of competent jurisdiction and shall recover threefold the damages sustained by him, the cost of suit, and a reasonable attorney's fee.

Article 595, plaintiffs contend, supports their argument that the fees are to be distributed among all class members. *See, e.g., White v. Board of Trustees,* 276 So.2d 714, 719 (La.Ct.App.) (deducting pro rata shares of an Article 595 attorney's fee from the awards due to each plaintiff), *writ ref'd,* 279 So.2d 694 (La.1973).

We disagree. Defendants pay attorney's fees and damages. The plain text of the first sentence of 595 awards the fees to the "representative parties." (The language allowing the "representative parties" their fees is echoed in Comment (a).)

Finally, plaintiffs argue that construing Article 595 to attribute the fees to the named plaintiffs — rather than to distribute them among all the plaintiffs — renders the statute unconstitutional. The argument continues that the federal courts have generally held that *Zahn* forbids attributing the fees of class members to class representatives. The only circuit court to speak to this question held that attributing a class's attorney's fees only to the named plaintiffs instead of pro rata to each member of the class "would conflict with the policy of *Zahn*." *Goldberg v. CPC Int'l, Inc.,* 678 F.2d 1365, 1367 (9th Cir.), *cert. denied,* 459 U.S. 945, 103 S.Ct. 259, 74 L.Ed.2d 202 (1982). Many district courts have followed *Goldberg*.[3] But *Goldberg*'s reading of *Zahn* sheds little light on the distinct policy choices behind Louisiana's decision regarding rights of recovery by class members. That a state chooses a set of rules that result in an award in excess of $50,000 frustrates no policy of *Zahn*. Simply put, under

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3. *See, e.g., Copeland v. MBNA Am., N.A.,* 820 F.Supp. 537, 541-42 (D.Colo.1993); *Mayo v. Key Fin. Servs. Inc.,* 812 F.Supp. 277, 278 n. 3 (D.Mass.1993); *Czechowski v. Tandy Corp.,* 731 F.Supp. 406, 410 (N.D.Cal.1990); *National Org. for Women v. Mutual of Omaha Ins. Co.,* 612 F.Supp. 100, 109 (D.D.C.1985); *see also Neve Bros. v. Potash Corp. (In re Potash Antitrust Litig.),* 866 F.Supp. 406, 414 n. 19 (D.Minn.1994) (following *Goldberg* despite enactment of Judicial Improvements Act of 1990, 28 U.S.C. § 1367, which at least arguably undermines *Zahn*).

the law of Louisiana the class representatives were entitled to fees. Their rights of recovery were not created by a judge's summing the discrete rights of class members. The district court applied the law of Louisiana. Because it did so, we are persuaded that the individual claims of the class representatives met the requisite jurisdictional amount. We turn now to the question of supplemental jurisdiction over the class members, confronting at its threshold *Zahn*'s current vitality. That is the question of *Zahn*.

B. SUPPLEMENTAL JURISDICTION: THE UNNAMED PLAINTIFFS' CLAIMS

Supplemental jurisdiction over the unnamed plaintiffs' claims has been an open question since Congress passed the Judicial Improvements Act of 1990.[4]

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4. 28 U.S.C. § 1367 provides in relevant part as follows:

> (a) Except as provided in subsections (b) and (c) or as expressly provided otherwise by Federal statute, in any civil action of which the district courts have original jurisdiction, the district courts shall have supplemental jurisdiction over all other claims that are so related to claims in the action within such original jurisdiction that they form part of the same case or controversy under Article III of the United States Constitution. Such supplemental jurisdiction shall include claims that involve the joinder or intervention of additional parties.
>
> (b) In any civil action of which the district courts have original jurisdiction founded solely on section 1332

(Cont'd)

Congress enacted § 1367 against the background of *Zahn*, in which the Supreme Court had held that the claim of each member of a class action must meet the amount-in-controversy requirement. *Zahn*, 414 U.S. at 301, 94 S.Ct. at 511-12. *Zahn* forbade the exercise of supplemental

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(Cont'd)

> of this title, the district courts shall not have supplemental jurisdiction under subsection (a) over claims by plaintiffs against persons made parties under Rule 14, 19, 20, or 24 of the Federal Rules of Civil Procedure, or over claims by persons proposed to be joined as plaintiffs under Rule 19 of such rules, or seeking to intervene as plaintiffs under Rule 24 of such rules, when exercising supplemental jurisdiction over such claims would be inconsistent with the jurisdictional requirements of section 1332.
>
> (c) The district courts may decline to exercise supplemental jurisdiction over a claim under subsection (a) if —
>
> (1) the claim raises a novel or complex issue of State law,
>
> (2) the claim substantially predominates over the claim or claims over which the district court has original jurisdiction,
>
> (3) the district court has dismissed all claims over which it has original jurisdiction, or
>
> (4) in exceptional circumstances, there are other compelling reasons for declining jurisdiction.

jurisdiction over the claims of class members who did not do so.

Defendants argue that Congress changed the jurisdictional landscape in 1990 by enacting § 1367. Section 1367(a) grants district courts supplemental jurisdiction over related claims generally, and § 1367(b) carves exceptions. Significantly, class actions are not among the exceptions.

Some commentators have interpreted this silence to mean that Congress overruled *Zahn* and granted supplemental jurisdiction over the claims of class members who individually do not demand the necessary amount in controversy.[5] Some of § 1367's drafters disagree.[6] No appellate court has ruled on the question yet.[7] The district

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5. *See, e.g.,* 1 James W. Moore et al., *Moore's Federal Practice,* ¶ 0.97[5], at 928 (2d ed. 1994); 2 Herbert B. Newberg & Alba Conte, *Newberg on Class Actions,* § 6.11, at 6-48 (3d ed. 1992); Joan Steinman, *Section 1367 — Another Party Heard From,* 41 Emory L.J. 85, 103 (1992); Thomas C. Arthur & Richard D. Freer, *Grasping at Burnt Straws: The Disaster of the Supplemental Jurisdiction Statute,* 40 Emory L.J. 963, 981 (1991).

6. *See* Thomas D. Rowe, Jr., Stephen B. Burbank, & Thomas M. Mengler, *Compounding or Creating Confusion About Supplemental Jurisdiction? A Reply to Professor Freer,* 40 Emory L.J. 943, 960 n. 90 (1991). Professors Rowe, Burbank, and Mengler all had a hand in crafting the supplemental jurisdiction statute. *See* Rowe et al., *supra,* 40 Emory L.J. at 949 n. 27; H.R.Rep. No. 734, 101st Cong., 2d Sess. 27, *reprinted in* 1990 U.S.C.C.A.N. 6860, 6873 n. 13.

7. This circuit has twice broached the question, but never answered it. In *More v. Intelcom Support Servs., Inc.,* we noted that
(Cont'd)

courts are split even within this circuit, although the majority appear to hold that *Zahn* survives the enactment of § 1367.[8]

(Cont'd)
§ 1367 might affect the *Zahn* rule, but declined to decide that because the action at issue had been filed before § 1367 took effect. *See* 960 F.2d 466, 473 (5th Cir.1992). Later, in *Watson v. Shell Oil Co.,* we reasoned that the *Zahn* rule would demand dismissal of class members' claims below the jurisdictional threshold. *See* 979 F.2d 1014, 1021 (5th Cir.1992). However, that case had been filed before § 1367 took effect, and the opinion makes no mention of that statute. *See id.* at 1021 & n. 27. In any event, *Watson* has been vacated. When this court ordered the case reheard en banc, *see* 990 F.2d 805 (5th Cir.1993), the panel opinion in *Watson* was vacated, *see* 5th Cir.R. 35 (Internal Operating Procedure), and the en banc rehearing never occurred because the parties settled and the appeal was dismissed.

The Third Circuit is the only other circuit to have considered the question. In *Packard v. Provident Nat'l Bank,* the court noted the conflict among authorities on our question, but declined to resolve it. *See* 994 F.2d 1039, 1045-46 n. 9 (3d Cir.), *cert. denied,* __ U.S. __, 114 S.Ct. 440, 126 L.Ed.2d 373 (1993).

8. *Compare Henkel v. ITT Bowest Corp.,* 872 F.Supp. 872, 877 (D.Kan.1994) (holding that § 1367 did not overrule *Zahn*); *Aspe Arquitectos, S.A. de C.V. v. Jamieson,* 869 F.Supp. 593, 595 (N.D.Ill.1994) (same); *Dirosa v. Grass,* No. 94-2551, 1994 WL 583276, at *2, 1994 U.S.Dist. LEXIS 15100, at *7 (E.D.La. Oct. 19, 1994) (same); *Kaplan v. Mentor Corp.,* No. 94-6249, 1994 U.S.Dist. LEXIS 15779, at *3 (N.D.Ill. Oct. 17, 1994) (same), *supplemented,* 1994 U.S.Dist. LEXIS 15410 (E.D.Ill. Oct. 24, 1994); *Benninghoff v. Tolson,* No. 94-2903, 1994 WL 519745, at *4, 1994 U.S.Dist. LEXIS 13428, at *11 (E.D.Pa. Sept. 22, 1994) (same); *Clement v. Occidental Chem. Corp.,* Nos. 94-1315, 94-1316, 94-
(Cont'd)

Perhaps, by some measure transcending its language, Congress did not intend the Judicial Improvements Act to overrule *Zahn*. The House Committee on the Judiciary considered the bill that became § 1367 to be a "noncontroversial" collection of "relatively modest proposals," not the sort of legislative action that would upset any long-established precedent like *Zahn*. 1990 U.S.C.C.A.N. at 6860, 6861. Plaintiffs argue that the Act was prompted not by a congressional desire for wholesale revisions of the jurisdictional rules, but by the more limited desire to restore traditional understandings of federal jurisdiction, which were upset by *Finley v. United States*, 490 U.S. 545, 109 S.Ct. 2003, 104 L.Ed.2d 593 (1989). In *Finley*, the Supreme Court held that federal courts could not exercise pendent-party jurisdiction without an express legislative grant, a grant never thought necessary before. *Id.*

(Cont'd)
1317, 1994 WL 479155, at *4, 1994 U.S.Dist. LEXIS 12387, at *19 (E.D.La. Aug. 30, 1994) (same); *Potash*, 866 F.Supp. at 414 (same); *North Am. Mechanical Servs. Corp. v. Hubert*, 859 F.Supp. 1186, 1188-89 (C.D.Ill.1994) (same); *Duet v. Lawes*, No. 94-0739, 1994 WL 151095, at * 2, 1994 U.S.Dist. LEXIS 4755, at *4-5 (E.D.La. Apr. 7, 1994) (same); *Riverside Transp., Inc. v. Bellsouth Telecommunications, Inc.*, 847 F.Supp. 453, 456 (M.D.La.1994) (same); *Fink v. Heath*, No. 91-2982, 1991 WL 127664, at *3, 1991 U.S.Dist. LEXIS 9182, at *7-8 (N.D.Ill. July 8, 1991) (same); *and Griffin v. Dana Point Condominium Ass'n*, 768 F.Supp. 1299, 1302 (N.D.Ill.1991) (same) *with Lindsay v. Kvortek*, 865 F.Supp. 264, 276 (W.D.Pa.1994) (determining that § 1367 supersedes *Zahn*; case did not involve class action); *Patterson Enters., Inc. v. Bridgestone/ Firestone, Inc.*, 812 F.Supp. 1152, 1154 (D.Kan.1993) (same); *and Garza v. National Am. Ins. Co.*, 807 F.Supp. 1256, 1258 & n. 6 (M.D.La.1992) (same).

at 556, 109 S.Ct. at 2010-11. In short, Congress intended the Act to "essentially restore the pre-*Finley* understandings of the authorization for and limits on other forms of supplemental jurisdiction," not, arguably, to alter *Zahn*. 1990 U.S.C.C.A.N. at 6860, 6874. A disclaimer in the legislative history strives to make this point clear by stating: "[T]he section is not intended to affect the jurisdictional requirements of 28 U.S.C. § 1332 in diversity-only class actions, as those requirements were interpreted prior to *Finley*." 1990 U.S.C.C.A.N. at 6860, 6875. The passage cites *Zahn* as a pre-*Finley* case untouched by the Act. 1990 U.S.C.C.A.N. at 6860, 6875 n. 17; *see also* Rowe et al., *supra*, 40 Emory L.J. at 960 n. 90 (stating that this passage was intended to demonstrate that *Zahn* was to survive the enactment of § 1367).

We cannot search legislative history for congressional intent unless we find the statute unclear or ambiguous. Here, it is neither. The statute's first section vests federal courts with the power to hear supplemental claims generally, subject to limited exceptions set forth in the statute's second section. Class actions are not among the enumerated exceptions.

Omitting the class action from the exception may have been a clerical error.[9] But the statute is the sole repository of

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9. The impressive array of Professors Burbank, Mengler, and Rowe has observed that "[i]t would have been better had the statute dealt explicitly with this problem, and the legislative history was an attempt to correct the oversight." Rowe et al., *supra*, 40 Emory L.J. at 960 n. 90. They have noted that the supplemental jurisdiction statute is "not a perfect effort." Thomas D. Rowe, Jr., et al., *A Coda on Supplemental Jurisdiction*, 40 Emory L.J. 993, 993 (1991).
(Cont'd)

congressional intent where the statute is clear and does not demand an absurd result. *See West Virginia Univ. Hosps., Inc. v. Casey,* 499 U.S. 83, 99-100, 111 S.Ct. 1138, 1147, 113 L.Ed.2d 68 (1991) (refusing to permit the Court's "perception of the 'policy' of the statute to overcome its 'plain language' "); *United States v. X-Citement Video, Inc.*, __ U.S. __, __-__, 115 S.Ct. 464, 467-68, 130 L.Ed.2d 372 (1994) (rejecting lower court's "plain language reading" of a statute where that reading would create a "positively absurd" result). Abolishing the strictures of *Zahn* is not an absurd result. Justice Brennan's dissent joined by Justices Douglas and Marshall states the counterposition. Some respected commentators would welcome *Zahn*'s demise. *See, e.g.*, 1 Moore et al., *supra*, § 0.97[5], at 928; Arthur & Freer, *supra,* 40 Emory L.J. at 1008 n. 6 ("Abrogating *Zahn* would hardly be absurd" since doing so would harmonize case law

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Some disagree and with inexplicably sharp language, given the reality that most mistakes become "clear" once they are identified. *See, e.g.*, 1 Moore et al., *supra,* § 0.97[5], at 928 (blaming "Congressional sloth in drafting the supplemental jurisdiction statute" for confusion over whether *Zahn* survives § 1367); Richard D. Freer, *Compounding Confusion and Hampering Diversity: Life After Finley and the Supplemental Jurisdiction Statute,* 40 Emory L.J. 445, 471 (1992) (noting that Congress passed § 1367 too quickly to notice some of its problems); Karen N. Moore, *The Supplemental Jurisdiction Statute: An Important But Controversial Supplement to Federal Jurisdiction,* 41 Emory L.J. 31, 56-58 (1992) (chastising Congress and its legislative advisors for enacting an ambiguous statute); Thomas C. Arthur & Richard D. Freer, *Close Enough For Government Work: What Happens When Congress Doesn't Do Its Job,* 40 Emory L.J. 1007, 1007 (1991) (calling § 1367(b) a "nightmare of draftsmanship").

and "enable federal courts to resolve complex interstate disputes in mass tort situations."). But the wisdom of the statute is not our affair beyond determining that overturning *Zahn* is not absurd. We are persuaded that under § 1367 a district court can exercise supplemental jurisdiction over members of a class, although they did not meet the amount-in-controversy requirement, as did the class representatives.

IV. ABSTENTION AND DISCRETIONARY EXERCISE OF SUPPLEMENTAL JURISDICTION

Colorado River abstention is to be used only sparingly, *see Colorado River,* 424 U.S. at 813, 96 S.Ct. at 1244, and this case is a poor candidate. The district court acknowledged that "several of the [*Colorado River*] factors are either neutral or weighing in favor of the exercise of [federal] jurisdiction." It rested its decision on two concerns: that remanding only the class members' claims would split the action, and the novel and complex questions of state law.

The first of these two concerns — the risk of piecemeal litigation — is a problem only under the district court's view of abstention. The second consideration — that novel and complex state law issues govern the action — has more merit. *Cf. Moses Cone,* 460 U.S. at 23-24, 103 S.Ct. at 941 (disfavoring abstention where federal question controls). These state law issues included whether indirect purchasers can state a claim under Louisiana antitrust law, and whether the claims in this case were preempted by federal antitrust law.

We agree that these may prove to be difficult questions. Standing alone, however, the novelty or complexity of state law issues is not enough to compel abstention. *See, e.g., Rougon v. Chevron, U.S.A., Inc.*, 575 F.Supp. 95, 97 (M.D.La.1983) (denying motion to remand to state court even though "the issues presented, involving previously undecided matters of Louisiana . . . law, are peculiarly suited to disposition by the state courts of Louisiana"). Only " 'exceptional' circumstances, the 'clearest of justifications,' . . . can suffice under *Colorado River* to justify the surrender of [federal] jurisdiction." *Moses Cone*, 460 U.S. at 25-26, 103 S.Ct. at 942 (emphasis omitted). This is not one of those truly rare and exceptional cases in which *Colorado River* abstention is proper.

The district court remanded the claims of other class members because they presented "novel issues of state law," including whether indirect purchasers could state a claim under Louisiana antitrust law and whether the antitrust claim was preempted by federal law.

Refusing to exercise supplemental jurisdiction over the unnamed plaintiffs' claims reflects respect for considerations of comity, but it assumes that the claims of the class representatives were to be remanded to state court. The court must now adjudicate claims of the class representatives — including the same novel and complex state law issues the district court preferred to leave to Louisiana. So the interests of comity will not be served by declining to exercise supplemental jurisdiction over the class members whose claims do not meet the jurisdictional amount.

In short, the entire case should remain in federal court. The district court had diversity jurisdiction over the named plaintiffs' claims; § 1367 granted it supplemental jurisdiction over the claims of the unnamed plaintiffs; and, considering that it must try the named plaintiffs' claims, it abused its discretion on the facts here in declining supplemental jurisdiction over the unnamed plaintiffs' claims. It is not necessary to decide the problematic contention that the district court also had federal question jurisdiction, and we do not. We VACATE the district court's remand order, and REMAND to the district court for further proceedings. The petition for mandamus is DENIED.

APPENDIX K — OPINION OF THE UNITED STATES DISTRICT COURT FOR THE MIDDLE DISTRICT OF LOUISIANA DATED AND FILED JUNE 21, 1994

ROBIN FREE and RENEE FREE v. ABBOTT LABORATORIES, BRISTOL-MYERS SQUIBB COMPANY, MEAD JOHNSON & COMPANY

CIVIL ACTION NO. 93-971

UNITED STATES DISTRICT COURT FOR THE MIDDLE DISTRICT OF LOUISIANA

1994 U.S. Dist. LEXIS 11231

June 21, 1994, Decided

June 21, 1994, Filed, Entered, Docketed

* * *

JUDGES: PARKER

OPINION BY: JOHN V. PARKER

OPINION: RULING ON MOTION FOR RECONSIDERATION

This matter is before the court on a motion by defendants to reconsider the prior ruling which remanded this action to state court. An opposition has been filed. There is no need for oral argument. Removal jurisdiction is allegedly based upon *28 USC §§ 1441,* 1446, 1331 and 1332.

Appendix K

On October 14, 1993, the plaintiffs filed this action in the Eighteenth Judicial District, Parish of West Baton Rouge, Louisiana, seeking damages for economic loss including treble damages, attorney fees, and legal interest. The plaintiffs purport to file this lawsuit on behalf of themselves and a class of consumers of infant formula who reside in the state of Louisiana and at any time during the period of January 1, 1980, through December 31, 1992, purchased one or more of the defendants' brand of infant formula in the State of Louisiana. The class has not been certified. The petition seeks to limit damages to a total not to exceed $20,000 per class member. The state court petition specifically alleges an unreasonable restraint of trade in violation of state law only: La.R.S. 51:122 et.seq., La.R.S. 2315 and La.R.S.1953.[1] No reference is made to federal law. The defendants in this action are Abbott Laboratories, Inc., Bristol-Myers Squibb, and Mead Johnson & Company.

On November 26, 1993, the defendants filed a notice of removal pursuant to *28 USC §§ 1441,* 1446, 1331 and 1332. Thereafter, on November 30, 1993, the plaintiffs filed a motion to remand the case to state court and on May 5, 1994,

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1. As the defendants point out, in paragraph 14 of the petition the plaintiffs allege "an understanding and concert of action among defendants, the substantial terms of which were to raise, fix, maintain and stabilize at artificially high levels the wholesale prices of infant formula sold in the United States, including the state of Louisiana." In the previous ruling, the court held that this allegation does not necessarily allege a violation of federal antitrust law exclusively. Thus, if plaintiffs have claims under both federal law and state law, they may elect to assert their claims under state law only.

the court remanded this matter to the Eighteenth Judicial District. The defendants now urge the court to reconsider its ruling.

In support of their motion, the defendants assert that this court has jurisdiction to reconsider the ruling on plaintiffs' motion to remand because a ruling to remand which is not predicated on lack of subject matter jurisdiction or a defect in the removal process is subject to review.

The court may reconsider the ruling to remand on the basis of *28 U.S.C. § 1367*(c). *In re Surinam Airways Holding Co., 974 F.2d 1255 (11th Cir.1992)* (A remand order issued pursuant to *28 U.S.C. § 1367*(c) is not premised on 1447(c) because it is a discretionary decision declining the exercise of expressly acknowledged jurisdiction. Thus, since the removal is not premised on either a defect in removal procedure or a lack of jurisdiction, it is reviewable.) *Burks v. Amerada Hess Corp., 8 F.3d 301 (5th Cir. 1993)* (A remand order which is based on the court's discretion not to exercise its jurisdiction is reviewable.) The court reconsiders and refuses to grant the relief requested.

The court supplements its reasons for the remand of the entire case. In its previous ruling filed April 5, 1994, the court ruled that the case did not present a federal question. However, it found that diversity jurisdiction did exist because the parties met the citizenship requirements and the named plaintiffs met the jurisdictional amount requirement. Under Louisiana law the attorney's fees allowed by statute are attributed to the class representatives; therefore, the claims

of the named plaintiffs exceed $50,000.[2] The court further held that it had supplemental jurisdiction over claims of the remaining class members because the claims are so related to claims in the action within such original jurisdiction that they form part of the same case or controversy under Article III of the United States Constitution. *28 U.S.C. § 1367, Garza v. National American Ins. Co., 807 F. Supp. 1256* (M.D. La. 1992.).

The court declined to exercise supplemental jurisdiction under *28 U.S.C. § 1367* in the interest of comity on the grounds that the action raised novel issues of state law, such as whether indirect purchasers have a cause of action under the Louisiana antitrust law, La. R.S. 51:121, 122 and whether the plaintiffs' claims involve an area of state interest which is covered by Louisiana antitrust law and not preempted by federal law. Thus, the court remanded all claims to state court.

Having determined that it would not exercise supplemental jurisdiction over the non-named plaintiffs, the court then declined to exercise jurisdiction over claims of the named plaintiffs over which it had jurisdiction pursuant to *28 U.S.C. § 1332*. Although not clearly articulated, the basis of the court's ruling was the Colorado River/Moses H.

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2. La. Code Civ. Pro. art. 595 provides in pertinent part: [T]he court may allow the representative parties their reasonable expenses of litigation, including attorney's fees, when as a result of the class action a fund is made available, or a recovery or compromise is made which is beneficial to the class.

Cone doctrine of abstention.[3] By this ruling, that point is clarified:

"With the balance heavily weighted in favor of the exercise of jurisdiction, the court must carefully consider the following when deciding whether to invoke the doctrine of abstention: the assumption by either court over property; the inconvenience of the federal forum; the desirability of avoiding piecemeal litigation; the order in which jurisdiction was obtained; whether state or federal law provides the rule of decision; and whether the state court proceeding would adequately protect the rights of the party invoking federal jurisdiction." *Colorado River, supra; Moses H. Cone, supra.*

The court has considered each factor and recognizes that several of the factors are either neutral or weighing in favor of the exercise of jurisdiction. However, the court finds that the avoidance of piecemeal litigation and the fact that state law provides the rule of decision in this action is critical because of the novel and complex issues of state law presented. These include whether indirect purchasers have a cause of action under the Louisiana antitrust law, La. R.S. 51:121, 122 and whether the plaintiffs' claims involve an area of state interest which is covered by Louisiana antitrust law and not preempted by federal law.

The argument of the defendants that prior rulings of this court dictate that the court not abstain is not persuasive.

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3. *Colorado River Water Conservation District v. U.S., 424 U.S. 800, 96 S. Ct. 1236, 47 L. Ed. 2d 483 (1976), Moses H. Cone Memorial Hospital v. Mercury Const. Corp., 460 U.S. 1, 103 S. Ct. 927, 74 L. Ed. 2d 765 (1983).*

Unlike *Rougon v. Chevron, U.S.A. Inc., 575 F. Supp. 95 (M.D. La. 1983),* the present case involves a class action with the potential for inconsistent rulings for parties who could have been members of the same class. Also, contrary to *Atlantic Mutual v. IT Corp., 842 F. Supp. 910 (M.D. La. 1994),* this action involves novel and complex issues of state law.

Accordingly, the motion by defendants for reconsideration is hereby DENIED.

Baton Rouge, Louisiana, June 21, 1994.

JOHN V. PARKER, CHIEF JUDGE

MIDDLE DISTRICT OF LOUISIANA

APPENDIX L — OPINION OF THE UNITED STATES DISTRICT COURT FOR THE MIDDLE DISTRICT OF LOUISIANA DATED, DECIDED AND FILED APRIL 5, 1994

ROBIN FREE AND RENEE FREE v. ABBOTT LABORATORIES, INC., BRISTOL-MEYERS SQUIBB COMPANY, INC., AND MEAD JOHNSON & COMPANY

CIVIL ACTION NO. 93-971-A

UNITED STATES DISTRICT COURT FOR THE MIDDLE DISTRICT OF LOUISIANA

1994 U.S. Dist. LEXIS 4563

April 5, 1994, Decided

April 5, 1994, Filed

* * *

JUDGES: PARKER

OPINION BY: JOHN V. PARKER

OPINION: RULING ON MOTION TO REMAND

This matter is before the court on a motion by plaintiffs, Robin Free and Renee Free, to remand. An opposition has been filed. Oral argument was held and the matter taken under advisement. Removal jurisdiction is allegedly based upon *28 USC §§ 1441,* 1446, 1331 and 1332.

Appendix L

On October 14, 1993, plaintiff's[1] filed this action in the Eighteenth Judicial District, Parish of West Baton Rouge, State of Louisiana, seeking damages for economic loss including treble damages, attorney fees, and legal interest from the date of judicial demand, but in a total not to exceed $ 20,000 per class member resulting from defendants engaging in an unreasonable restraint of trade in violation of La. R.S. 51:122 et. seq., La. R.S. 2315 and La. R.S. 1953.[2] Made defendants in this action are Abbott Laboratories, Inc. (a foreign corporation with its principal place of business in Abbott Park, Illinois), Bristol-Myers Squibb (a foreign corporation with its principal place of business in New York, New York), and Mead Johnson & Company (a foreign corporation with its principal place of business in Evansville, Indiana).[3]

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1. The plaintiffs purport to file this lawsuit on behalf of consumers of infant formula who reside in the state of Louisiana and at any time during the period of January 1, 1980 through December 31, 1992 purchased one or more of the defendants' brand of infant formula in the State of Louisiana. The class has not been certified.

2. As the defendants point out, in paragraph 14 of the petition the plaintiffs allege "an understanding and concert of action among defendants, the substantial terms of which were to raise, fix, maintain and stabilize at artificially high levels the wholesale prices of infant formula sold in the United States, including the state of Louisiana."

3. Although the plaintiffs allege that the Abbott Laboratories, Bristol-Myers Squibb Company, and Mead Johnson and Company are "foreign" corporations neither specifically refer to the state of incorporation of the three entities.

On November 26, 1993, the defendants filed a notice of removal pursuant to *28 USC §§ 1441,* 1446, 1331 and 1332. Thereafter, on November 30, 1993, plaintiffs filed a motion to remand the case to state court.

Federal Question Jurisdiction

In support of their motion, the plaintiffs argue that they have elected to proceed pursuant to state law and that removability depends upon the allegations of the pleadings actually filed by the plaintiff and not by what could have been alleged.[4] In addition, the plaintiffs claim that questions concerning the propriety of plaintiffs' Louisiana antitrust claims must be left for the state court to decide on a motion to dismiss. Finally, the plaintiffs argue that the limitation which courts have placed on a plaintiff's right to control a case, known as the "artful pleading" doctrine, is inapplicable because their cause of action is not necessarily federal.

In opposition, the defendants assert that the court does have authority to determine whether plaintiffs' claims are cognizable under Louisiana antitrust law and that plaintiffs' assertion of interstate price-fixing does not state a claim under the Louisiana antitrust statute because it is limited to intrastate conspiracies. La. R.S. 51:121,122.[5] The defendants

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4. The plaintiffs claim that the defendants are attempting to recast their case under the Sherman Act because indirect purchasers such as the class members in the present action would not have a claim thereunder. *Illinois Brick Co. v. Illinois, 431 US. 720, 97 S.Ct 2061, 52 L. Ed. 2d 707 (1977).*

5. The defendants claim that of the cases cited by the plaintiffs only one *HMC Management Corp. v. New Orleans Basketball Club,*
(Cont'd)

also claim that where plaintiffs seek to circumvent a bar to asserting their claims under federal law by "artfully pleading" them as state claims, removal is appropriate once the court has determined that a federal claim is necessarily presented. The defendants argue that the "artful pleading" doctrine applies whether there is a federal preemption issue or not.

It is well established that "the party who brings a suit is master to decide what law he will rely upon . . . and if he can maintain his claim on both state and federal grounds, he may ignore the federal question and assert only a state law claim and defeat removal." *Redwood Theatres v. Festival Enterprises, 908 F.2d 477 (9th Cir. 1990)* citing *The Fair v. Kohler Die & Specialty Co., 228 U.S. 22, 33 S. Ct. 410, 57 L. Ed. 716 (1913)* and *Sullivan v. First Affiliated Securities, Inc., 813 F.2d 1368* (9th Cir.) cert. denied, *484 U.S. 850, 108 S.Ct 150, 98 L. Ed. 2d 106 (1987).*

In the present action, the plaintiffs have chosen to assert their claims under Louisiana antitrust law. Unless the plaintiff's claim is exclusively governed by federal law, so that the plaintiff necessarily is stating a federal cause of action whether he chooses to articulate it that way or not, the federal court will not ignore the plaintiff's choice of state law as the basis of his action. Wright and Miller, Federal Practice and Procedure § 3722.

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375 So.2d 700, (La. App. 4th Cir. 1974) writ denied, *378 So.2d 1384* and *379 So.2d 11 (La. 1980)* actually deals with the Louisiana anti-trust statute and it is actually contrary to plaintiffs position.

The court finds that the plaintiffs' petition alleging a conspiracy to "raise, fix, maintain and stabilize at artificially high levels the wholesale prices of infant formula sold in the United States, including Louisiana," does not necessarily state only a federal cause of action. It is clear that the Congress intended the federal antitrust law to supplement, not displace, state antitrust remedies. *California v. ARC America Corp., 490 U.S. 93, 109 S. Ct. 1661, 104 L. Ed. 2d 86 (1989).* (The Congressional purposes upon which Illinois Brick, Id. were based provided no support for a finding that state antitrust laws permitting claims of indirect purchasers who alleged a nationwide conspiracy to fix cement prices are preempted by federal law.) The fact that the conspiracy affects interstate commerce is not a ground for preemption.

The court finds that the cases cited by the defendant holding that state antitrust regulation are inapplicable to professional basketball (HMC v. New Orleans Basketball Club, Id.) and college football (*English v. National Collegiate Football Association, 439 So.2d 1218 (La. App. 4th Cir. 1983))* are distinguishable from the present case, because interstate sports is an area which demands uniformity (like the transportation cases including *Bibb v. Navajo Freight Lines, Inc., 359 U.S. 520, 79 S. Ct. 962, 3 L. Ed. 2d 1003 (1959)).* See also *Flood v. Kuhn, 407 U.S. 258, 92 S. Ct. 2099, 32 L. Ed. 2d 728 (1972)* holding that state antitrust regulations are not applicable to professional baseball. Otherwise, the challenged state legislation in each case would impede interstate commerce by having a significant impact on the whole league fabric, not just on the state's one or two teams. *Valley Bank of Nevada v. Plus System, Inc., 914 F.2d 1186 (9th Cir. 1990).* In addition, the court noted that state

courts are fully capable of handling commerce-clause challenges to antitrust laws. Redwood, Id. See also *Cheshire v. Coca Cola Bottling Affiliated, Inc., 758 F. Supp. 1098 (D. S.C. 1990)* which directly addresses this issue.

Accordingly, the court finds that the plaintiffs' claims do not arise under federal law and that the district court lacks federal question jurisdiction to entertain removal of the action from state court.

Diversity Jurisdiction

The plaintiffs concede that this litigation involves citizens of different states, but argue that the matter in controversy does not exceed $ 50,000, because the plaintiffs have limited the recovery to each class member to an amount not to exceed $ 20,000.[6] The plaintiffs argue that the class members may not aggregate their claims to meet the required jurisdictional amount. The plaintiffs also assert that the attorney fees should not be aggregated and ascribed to each class member.

In opposition, the defendants claim that the named plaintiffs have claims well in excess of $ 50,000, due to their claim for attorney fees and that the court has supplemental federal jurisdiction over the remaining putative class

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6. The plaintiffs claim that the $ 20,000 figure was achieved by assuming the purchase of baby formula for a two year period, less what the formula should have cost, trebling the damages and allowing for an additional sum as attorney fees. See page 17 of plaintiffs memo for more figures.

members. Alternatively, the defendants claim that the plaintiffs' claims for attorney fees can be aggregated to satisfy the jurisdictional amount.

The court finds that the named plaintiffs class have claims in excess of $ 50,000 because under Louisiana law the attorney's fees allowed by statute are attributed to the class representatives.[7] Under *28 U.S. C. § 1367,* federal courts have supplemental jurisdiction over claims that are so related to claims in the action within such original jurisdiction that they form part of the same case or controversy under Article III of the United States Constitution." Under *28 U.S.C. 1367*(c), a federal district court may decline to exercise this supplemental jurisdiction if the claim raises novel or complex issues of state law, the state law claim substantially predominates over the claim or claims over which the court had original jurisdiction, the court has dismissed claims over which it had original jurisdiction, or if there are other compelling reasons for declining jurisdiction. Wright and Miller, Federal Practice and Procedure § 3523, *Tigard Elec., Inc. v. National Electrical Contractors Assn., 790 F. Supp. 1498 (D. Or. 1992).* The court finds that the plaintiffs' claims present novel issues of state law such as whether indirect purchasers have a cause of action under the Louisiana antitrust law, La. R.S. 51:121,122 and whether the plaintiffs' claim involves an area of state interest which is covered by Louisiana antitrust law and not preempted by federal law.

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7. La. Code Civ. Pro. art. 595 provides in pertinent part: The court may allow the representative parties their reasonable expenses of litigation, including attorney's fees, when as a result of the class action a fund is made available, or a recovery or compromise is made which is beneficial to the class.

Therefore, in the interest of comity, the court declines to exercise supplemental jurisdiction over the putative class members. *Fiscus v. City of Roswell, 832 F. Supp. 1558 (N.D. Ga. 1993).* (Needless decisions of state law should be avoided both as a matter of comity and to promote justice between the parties, by procuring them a surer-footed reading of applicable law.)

Accordingly, the motion to remand by plaintiffs is hereby GRANTED and this action will be remanded to the Eighteenth Judicial District for the Parish of West Baton Rouge, Louisiana.

Baton Rouge, Louisiana, April 5, 1994.

JOHN V. PARKER, CHIEF JUDGE

MIDDLE DISTRICT OF LOUISIANA

APPENDIX M — RELEVANT STATUTES

28 U.S.C. § 1332

§ 1332. Diversity of citizenship; amount in controversy; costs

(a) The district courts shall have original jurisdiction of all civil actions where the matter in controversy exceeds the sum or value of $75,000, exclusive of interest and costs, and is between —

(1) citizens of different States;

(2) citizens of a State and citizens or subjects of a foreign state;

(3) citizens of different states and in which citizens or subjects of a foreign state are additional parties; and

(4) a foreign state, defined in section 1603(a) of this title, as plaintiff and citizens of a State or of different States.

For the purposes of this section, section 1335, and section 1441, an alien admitted to the United States for permanent residence shall be deemed a citizen of the State in which such alien is domiciled.

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28 U.S.C. § 1441

§ 1441. Actions removable generally

(a) Except as otherwise expressly provided by Act of Congress, any civil action brought in a State court of which the district courts of the United States have original jurisdiction, may be removed by the defendant or the defendants, to the district court of the United States for the district and division embracing the place where such action is pending. For purposes of removal under this chapter, the citizenship of defendants sued under fictitious names shall be disregarded.

(b) Any civil action of which the district courts have original jurisdiction founded on a claim or right arising under the Constitution, treaties or laws of the United States shall be removable without regard to the citizenship or residence of the parties. Any other such action shall be removable only if none of the parties in interest properly joined and served as defendants is a citizen of the State in which such action is brought.

(c) Whenever a separate and independent claim or cause of action within the jurisdiction conferred by section 1331 of this title is joined with one or more otherwise non-removable claims or causes of action, the entire case may be removed and the district court may determine all issues therein, or, in its discretion, may remand all matters in which State law predominates.

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(d) Any civil action brought in a State court against a foreign state as defined in section 1603(a) of this title may be removed by the foreign state to the district court of the United States for the district and division embracing the place where such action is pending. Upon removal the action shall be tried by the court without jury. Where removal is based upon this subsection, the time limitations of section 1446(b) of this chapter may be enlarged at any time for cause shown.

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